

CHAPTER ONE

FUNDAMENTALS OF MANAGEMENT

1.1 Definition of Management:

- It is not easy to define the term management. There are many definitions of management as there are books on the subject. There are certain genuine reasons for this:
- Management is a vast subject. It is therefore not possible to put all the essential features of management in a single formula.
- Management is concerned with the human beings, who are behaviorally highly unpredictable.
- Management is young developing discipline whose concepts are continuously changing.
- *Most definitions emphasize on one common idea; it is concerned with the accomplishment of objectives through the efforts of the people performing certain functions.*

CONT'D

Let's look into these definitions:

Management is the accomplishment of results through the efforts of other people – **Lawrence A. Appley**

Management is the art of getting things done through and with the people in formally organized groups – **Koontz H.**

Management is the process of planning, organizing, actuating and controlling to determine and accomplish the objectives by the use of people and resources. – **Terry.**

Some have defined management as a decision making, rule making and rule enforcing body.

According to **Prof. Moore**, management means decision making and others called it as 'personnel administration'.

CONT'D

For the sake of simplicity and convenience, we can broadly define the term in the following way:

Management is the process of planning, organizing, staffing, directing and controlling to accomplish organizational objectives through the coordinated use of human and material resources.

Features of Management:

The following are major characteristics of management.

1-Management is purposeful

It is the process of efficiently getting activities completed with and through other people. Goals orientation and action focus provide the bench marks for managerial operations. Achieving results here implies mobilization, interaction and judicious employment of resources in a disciplined manner.

CONT'D

2-Management is concerned with the ideas, and obtaining results through people.

Management is the dynamic life-giving element in every enterprise. It provides the dynamic force necessary to convert disorganized resources of many machineries and materials into a useful, productive organization.

While obtaining results managers should emphasize three things:

- i.They should provide a healthy atmosphere where the organizational participants can work out new and creative ideas.**
- ii.They should manage the resources effectively and efficiently.**
- iii.They should treat human beings as, mature individuals, as creative and innovative creatures rather than as passive and lifeless machines.**

CONT'D

3)-Management is a social process: Management is a social process because managerial actions are chiefly concerned with relation between people. Managers are needed to direct, coordinate and regulate human efforts in order to accomplish predetermined organizational goals.

4-Management is a coordinating force. A major part of management's job is the coordination of the efforts of employees each of whom has his own values and aspirations into an organizational objectives and individual goals.

5-Management is concerned with group efforts: An organization basically comes into existence to achieve certain objectives, which are attained more easily by a group, than, by an individual working alone.

6-Management is an activity: Management is a discerningly distinct activity. It can be studied. Knowledge about it obtained and skill in its application acquired.

CONT'D

7-Management is composite process: The management process is not a series of separate functions (planning, organizing, directing, and controlling), which can be performed independently, it is a composite process made up of these individual ingredients. No single function can be performed without involving the others.

8-Management acts as a creative and invigorating force in the organization: Management creates a result that is bigger whole than a sum total of efforts put in by the group.

9-Management is a dynamic discipline: It is a dynamic and growth –oriented function. Managing is not just passive, but adaptive behavior; it means taking action to make the desired results to come to pass.

10-Management is intangible: It is an unseen force. Its presence is often evidenced by the results of its efforts that are orderliness, adequate work output, satisfactory work climate, employee satisfaction etc.

1.2. Significance of Management

No enterprise can long be successful that does not utilize effective management. To a great extent the accomplishment of many economic, social and political goals rest up on the competency of the manager. The task of constructing a better economic society, improved social standards, or more efficient government is the challenge to modern managerial ability.

1-Management provides effectiveness to human efforts.

It helps achieve better equipments, plants, offices, products, services, and human relations. It keeps up to date with the changing conditions and it supplies foresight and imagination.

1.2. Significance of Management (cont'd)

2-Management brings order to endeavors.

- **By means of management, apparently isolated events or factual information or beliefs are brought together and significant relationship discerned.**

3-Managing a successful enterprise is difficult work.

- **Problems arise, new resources become available. Goals change.**
- **To cope with these conditions, effective management is required.**

1.3. Managerial Functions an Overview

According to the functional approach, originated by **Henery Fayol**, in every organization managers perform certain basic functions in order to achieve results.

These functions may be broadly classified into five categories:

1. Planning:

- Planning is the process of making decisions about future.
- It is the process of determining enterprise objectives and selecting future courses of actions necessary for their accomplishment.

1.3. Managerial Functions an Overview

Planning (cont'd):

- **It is the process of deciding in advance what is to be done, when and where it is to be done, how it is to be done and by whom.**
- **Planning is a fundamental function of management and all other functions of management are influenced by the planning process.**

2. Organizing:

Organizing is concerned with the arrangement of an organization's resources – people, materials, technology and finance in order to achieve enterprise objectives

1.3. Managerial Functions an Overview

Organizing (cont'd):

It **involves decisions** about *the division of work, allocation of authority and responsibility* and the *coordination of tasks*.

This function increases in importance as a firm grows.

3. Staffing:

It may be defined as an activity where people are recruited, selected, trained, developed, motivated and compensated for manning various positions. It includes not only the movement of individuals into an organization, but also their movement through (promotion, job rotation, transfer) and out (termination, retirement) of the organization.

1.3. Managerial Functions an Overview

4. Directing:

The function of *guiding and supervising* the *activities of the subordinates* is known as directing.

This work involves four important elements:

1.Leadership: leadership is the process of *influencing the actions* of a person or a group to attain desired objectives.

The success of an organization depends on the quality of leadership shown by its managers.

2.Motivation: is the work a manager performs to inspire, encourage and impel people to take required actions.

1.3. Managerial Functions an Overview

Directing (cont'd):

3.Communication: is the transfer of information and understanding from one person to another.

It is a way of reaching others with ideas, facts, and thoughts.

4.Supervision: In getting the work done it is not enough for managers to tell the subordinates what they are required to do.

- They have also to watch and control the activities of the subordinates.
- Supervision is seeing that subordinates do their work and do it as directed.

1.3. Managerial Functions an Overview

5. Controlling:

- **The objective of controlling is to ensure that actions contribute to goal accomplishment.**
- **It helps in keeping the organizational activities on the right path and aligned with plans and goals.**
- **In controlling, the performances are observed, measured and compared with what had been planned.**

Thus controlling includes four things:

- (i) setting standard of performance,**
- (ii) measuring actual performance,**
- (iii) comparing actual performance against the standard, and**
- iv) taking corrective actions to ensure goal accomplishment.**

1.4. Levels of Management and Types of Managers

The term 'levels of management' refers to a line of demarcation between various managerial positions.

In a large organization, three levels of management are usually identified:

1. Top Level Management:

- Determines objectives and policies
- Designs the basic operating and financial structure of an organization
- Provides guidance and direction
- Lays down standards of performance
- Maintains good public relations.

1.4. Levels of Management and Types of Managers

2. Middle Level Management:

- **Interprets and explains the policies framed by the top**
- **Issues detailed instructions**
- **Participates in operating decisions**
- **Trains other managers**

3. Lower Level Management:

- **Plans day-to-day operations**
- **Assigns jobs to workers**
- **Provides supervision and control over work**
- **Arranges materials, tools and equipments**
- **Maintains discipline.**

TYPES OF MANAGERS

1. FIRST-LINE MANAGERS

- often called supervisors stand at the base of the managerial hierarchy

2. MIDDLE MANAGERS

- heads of various departments and organize human and other resources to achieve organizational goals

3. TOP MANAGERS

- set organizational goals, strategies to implement them and make decisions

1.5. Managerial Roles and Skills

- In addition to the broad categories of management functions, managers in different levels of the hierarchy fill different managerial roles.
- These roles were categorized by researcher **Henry Mintzberg**, and they can be grouped into *three major types*:
 - *decisional*,
 - *interpersonal*, and
 - *informational*.

I. Decisional Roles.

- Decisional roles require managers to plan strategy and utilize resources.

1.5. Managerial Roles and Skills

I. Decisional Roles (cont'd)

There are four specific roles that are decisional:

a. The entrepreneur role:

- Making change that is important for the improvement and betterment of the organization, i.e. acting as designer and initiator of change within the group to improve organization's position..
- Managers play this role when they *initiate new project; launch a survey; test new market*; etc...
- Most of these roles will be held by top-level managers, although middle managers may be given some ability to make such decisions.

b. The disturbance handler:

- Making decisions or taking corrective actions in response to situations that are beyond their control, or dealing with problems and changes beyond manager's immediate control.

1.5. Managerial Roles and Skills

i. Decisional Roles (cont'd)

c. **The resource allocator role:** involves determining which work units will get which resources.

d. **The negotiator:** works with others, such as suppliers, distributors, or labor unions, to reach agreements regarding products and services.

ii. Interpersonal Roles.

➤ Interpersonal roles require managers to direct and supervise employees and the organization.

a. **The figurehead role:** representing the organization as the ceremonial and symbolic functions, acting as public official for the organization. Or performing ceremonial duties important for the organization's image and success

1.5. Managerial Roles and Skills

ii. Interpersonal Roles(cont'd)

b. Leadership role:

- is directing and coordinating the activities of subordinates to accomplish objectives.

Include some aspects like:

- *creating a vision* that employees can identify with.
- *doing with staff:-* hiring, training, promoting.
- *motivating subordinates* to meet organizational needs.

c. Liaison role:

In the role of liaison, a manager must coordinate the work of others in different work units, establish alliances between others, and work to share resources.

1.5. Managerial Roles and Skills

iii. Informational Roles.

➤ Informational roles are those in which managers obtain and transmit information.

a. The monitor role:

- It involves actively seeking out, receiving and securing information that may be of value.
- Here managers, just as radar, scan their environment.
- It is like a nerve center.
- managers seek information to detect problems or opportunities, build general knowledge about the work situation, make necessary changes.

1.5. Managerial Roles and Skills

iii. Informational Roles (cont'd).

b. Disseminator role:

- It is transmitting or providing relevant information back to others in the workplaces. i.e. sharing/ sending information found from internal and external sources to others both internal and external to the organization.

c. Spokesperson role:

- It focuses on external communication. It is representing an organization to outside party on the behalf of members of the organization, or transmitting information about the work group to others especially outside the organization. e.g. to public, press, customer group, etc...

Managerial skills

Every manager needs **three** basic skills:

- *Technical,*
- *Human, and*
- *Conceptual.*

1. Technical Skill:

- It is the ability of a manager to use the equipments, methods and techniques involved in performing specific tasks.
- Technical skill is required more at the lower level of management i.e. at the **supervisory** level.
- At **higher levels**, the technical skill is less important as managers can rely upon others for technical information

Managerial skills

2. Human Skill:

- The ability of a manager to work with, understand, and motivate people in the organization is known as human skill.
- It also involves the ability to build effective work teams.
- Human skills are important at all levels of management.
- Middle managers and top managers also use human skills equally in their respective level of responsibility.

3. Conceptual Skill:

- This consists of the manager's ability to coordinate all organizational activities and varied interests involved in it.
- It involves viewing the organization in its totality and understanding the inter-dependence of its individual parts.
- Conceptual skill is very important for top management in formulating long-range plans, broad policies and relating the business enterprise to the industry and economy. 25

1.6. Universality of Management

- Many professionals in the field of management agree that “management is universal”.
- These proponents argue the universality of management by stating that the functions of managers are really the same whether the organizations are private or public, profit making or non profit, manufacturing and service giving, small firms or industrial giants
- The basic principles and concepts of management are universally applicable to all types of organization.

1.6. Universality of Management (cont'd)

The main points which characterizes the universality of management:

- All managers operate in organization with specific objectives
- All managers must plan, organize, lead, and control in order to achieve these organizational objectives
- The functions of planning, organizing, leading and controlling are similar in all organizations regardless of the types of ownership.
- The vital force of management is needed to integrate scarce resources in optimum productive relationships
- Management, in all organizations, helps to achieve organizational objectives.

1.7. Is Management an art, Science, or profession?

The question whether management is a science or an art is put to debate quite frequently.

There are arguments on both sides.

A. Properties of Science:

Science, has four elements:

- 1. Systematic body of knowledge:** it is systematized in the sense that it is based on the cause and effect relationship between different variables. Such a knowledge helps in explaining past events and predicts the outcome of specific actions.
- 2. Scientific Inquiry:** Scientific inquiry is unaffected by the personal likes and dislikes of a scientist. When we say that the rotation of earth causes days and nights, we do not express the opinion of just one person.

1.7. Is Management an art, Science, or profession?

Properties of Science (cont'd):

3. Experimentation: The principles of science are derived after repeated observations and experiments. The result of each experiment can be verified and outcomes predicted in a definite way.

4. Universal truths: Scientific principles represent basic truths; they are developed after a series of experiments. They can be applied in all situations and at all times.

Management as Science:

Management is a science because it has all characteristics of a science, namely,

1. Systematic body of knowledge: Management is distinct discipline. It has a number of principles which can be studied and put to application.

1.7. Is Management an art, Science, or profession?

Management as Science(cont'd):

2. Management is a social science:

Management is a social science, as it deals with human behavior about which little is known at present.

As we all know, it is not possible to study human behavior under controlled laboratory conditions.

The principles of management cannot be accepted as absolute truths. They are still in a developing stage and evolutionary in nature.

3. Management is an inexact science:

Management is not an exact science like physics, chemistry or biology. It can offer only flexible guidelines that would be of use in solving problems.

1.7. Is Management an art, Science, or profession?

Management as Science(cont'd):

4. Scientific Management:

When Taylor used the term 'scientific management', he was aware of the fact that experimentation and verification of facts is not possible in managing human resources.

He had used the term 'scientific' as an organized body of knowledge as opposed to 'traditional rules and empirical dexterity'.

1.7. Is Management an art, Science, or profession?

B. Properties of Art:

- **Art is the application of knowledge and personal skills to achieve results. It is a way of living.**
- **Art is based on the knowledge of principles offered by science.**
- **Art is basically concerned with application of knowledge, how to do things creatively and skillfully.**

Management as an Art:

Management is basically an art as it involves the use of know-how and skills like any other art such as music, painting, sculpture, etc.

The practical knowledge acquired in the areas of planning, decision making and motivating certainly help managers to tackle problems in a better way.

1.7. Is Management an art, Science, or profession?

Management as an Art (cont'd):

The following is the argument in favor of management as an art:

1. Use of knowledge: Just as doctor uses the science of medicine while diagnosing and treating the patients, a manager uses the knowledge of management theory while performing the managerial function.

2. Creative art: Management is creative like any other art. It combines human and non human resources in a useful way so as to achieve results.

3. Personalized: Like any other art, management is personalized activity. Every manager has his own way of managing things and people, based on his knowledge and experience.

4. Constant practice: Managers learn from mistakes. The application of managerial principles over a period of time enables them to tackle difficult problems with confidence.

1.7. Is Management an art, Science, or profession?

Management: *Science* as well as *Art*:

- **Management is thus, an art as well as a science.**
- ✓ **The art of management is as old as civilization.**
- ✓ **The science of management is young and developing.**
- **Both are complementary and mutually supportive.**
- **Managers need to acquire the knowledge of management principles and practice in order to be successful.**

MANAGEMENT AS A PROFESSION

- The question, 'Is management a profession?' is asked quite frequently. Over the last few decades, factors such as growing size of business units, competition, and separation of ownership from management have led to an increased demand for professionally qualified managers.
- The task of management have become quite specialized.

Characteristics of a Profession:

- 1. Well-defined body of knowledge:** A profession must have a systematic body of principles, techniques and skills.
- 2. Formal education and training:** Everybody cannot enter a profession. An individual can enter a profession only after acquiring knowledge and skills through formal education and training.
- 3. Minimum Qualification:** An individual can enter a profession after obtaining a degree or diploma from recognized colleges, universities or institutes.

MANAGEMENT AS A PROFESSION

Characteristics of a Profession (cont'd):

- 4. Representative body:** A representative body of professionals exists to regulate and develop the professional activities.
- 5. Service above self:** According to Edgar Schein, a profession must be committed to service. Success in work should be more important than financial rewards or political gains.
- 6. Ethical code of conduct:** A strict code of conduct exists in every profession. Members of a profession are expected to follow the code sincerely and honestly.

Management as a Profession:

- 1. Well defined body of knowledge:** Management has well defined body of knowledge that are generally valid in a variety of organizations and situations.

Management literature has been continually growing.

MANAGEMENT AS A PROFESSION

Management as a Profession(cont'd):

- 2. Formal education and training:** Acquiring management education through training is possible now. A number of management institutes have been set up in recent years, to turn out a good crop of managers throughout the globe.
- 3. Representative Body:** As things stand now, there is no organization or body of professionals whose membership is essential to become a manager. There is no organization whose authority is recognized as final.
- 4. Code of Conduct:** There is no universal code of conduct. Although, certain trade associations and management associations have formulated ethical codes for managers working in particular industries.
- 5. Service Motto:** In the absence of a regulating body and code of conduct, managers often indulge in practices aimed at maximizing their personal wealth

CHAPTER TWO: MANAGERIAL PLANNING

2.1 Concepts and need for planning:

- The **necessity for planning** arises because of the fact that business organization have to operate, survive and progress in a high dynamic economy where change is the rule not the exception.
- These changes often give rise to innumerable problems and throw countless challenges.
- Most of these changes are thrust on managers thus, managers are forced to adjust their activities in order to take full advantage of favorable developments or to minimize the adverse effects of unfavorable ones.
- As pointed out by **Terry** “successful managers deal with foreseen problems, and unsuccessful managers struggle with unforeseen problems. The difference lies in planning.”

CHAPTER TWO: MANAGERIAL PLANNING

Meaning of Planning:

- A plan is forecast for accomplishment. It is predetermined course of action. It is today's projection for tomorrow's activity.
- In other words, to plan is to produce a scheme for future action, to bring about specified results at a specified cost, in a specified period of time.

Management thinkers have define the term, basically, in two ways:

1. Based on futurity:

- “Planning is a trap laid down to capture the future” – **Allen**
- “Planning is deciding in advance what is to be done in future” – **Koontz.**
- “Planning is informed anticipation of future” – **Haiman**
- “Planning is anticipatory’ decision making” – **R.L.Ackoff**

CHAPTER TWO: MANAGERIAL PLANNING

2. As a Thinking Function:

- “Planning is a thinking process, an organized foresight, a vision based on fact and experience that is required for intelligent action” – **Alford and Beatty**
- “Planning is deciding in advance *what to do, how to do it, when to do it and who is to do it*” – **Koontz and O'Donnell**.
- *It is deciding in the present, what is to be done in future. It is a process of thinking before doing it.*
- A plan is **specific, documented intention** consisting of an objective and an action statement.
- Properly conceived plans tell **what, where** and **how** something is to be done.

CHAPTER TWO: MANAGERIAL PLANNING

Nature of Planning:

Planning has a number of Characteristics:

1. Planning is goal oriented:

- All plans arise from objectives. Objectives provide the basic guidelines for planning activities.
- Planning has no meaning unless it contributes in some positive manner to the achievement of predetermined goals.

2. Planning is a primary function:

- Planning is the foundation of management. It is a parent exercise in management process.
- It is preface to business activities.
- The idea of primacy of planning emphasizes the fact that planning takes precedence over other managerial functions like organizing, directing and controlling because none of these functions can come into being until there is a plan.

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Nature of Planning(cont'd):

3. Planning is all pervasive:

- Planning is a function of all managers.
- It is needed and practiced at all managerial level.
- Managers have to plan before launching a new business.
- They have to plan whenever things change.
- Even when they decide to close down a plant, they have to plan meticulously to avoid problems from employees.

4. Planning is a mental Exercise:

- Planning is a mental process involving imagination, foresight and sound judgment.
- Planning compels managers to abandon guesswork and wishful thinking.
- It makes them think in logical and systematic manner.

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Nature of Planning(cont'd):

4. Planning is a continuous process:

- Planning is a continuous process. It is never ending activity. Once plans for a specific period are prepared, they are translated into action. At the end of that period, there is a need for a new plan to be drawn based on the new situations and conditions.
- Planning is thus, an on-going process of adjustment to change.

5. Planning involves choice:

- Planning essentially involves choice among various alternative courses of action. If there is one way of doing something, there is no need for planning. The need for planning arises only when alternatives are available. Out of these alternatives, a manager would select the best alternative, after careful analysis and evaluation.

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Nature of Planning(cont'd):

6. Planning is forward looking:

- Planning means looking ahead and preparing for the future.
- Managers plan today with a view to flourish tomorrow.
- Without planning, business becomes random in nature and decisions would become meaningless, adhoc choices.

7. Planning is flexible:

- Planning is based on a forecast of future events.
- Since future is uncertain, plans should be reasonably flexible.

8. Planning is an integrated process:

- Plans are structured in a logical way wherein every lower level plan serves as a means to accomplish higher level plans. They are highly interdependent and mutually supportive to each other.

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Nature of Planning(cont'd):

9. Planning includes efficiency and effectiveness dimensions:

- Plans aims at deploying resources economically and efficiently.
- They also try to accomplish what has been actually targeted.
- The effectiveness of plan is usually dependent on how much it can contribute to the predetermined objectives.

Need for planning

- Planning is important for every organization irrespective of its size, objectives, and location. Organizational tasks can't be performed with out plans.
- Planning is critical managerial function that forms the basis for other managerial functions. Without planning business decisions would become inconsistent, random & ad-hoc choices, and this may lead to failure of entire organization. i.e. "Failing to plan is planning to fail"

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Need for planning(cont'd):

Planning is important for several reasons:

- It provides direction for an organization by specifying objectives
- It reduces risk and uncertainty for the future
- It allows organizational members to concentrate on common organizational objectives
- It provides the criteria for decision making
- It provides basis for control or facilitates control
- it helps organizations to succeed or reach their objectives
- it promotes efficient utilization of resources
- it enables an organization to use opportunities and face challenges, and
- it contributes to the performance of other managerial functions.

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2.2. Types of plans

Plans can be classified on different bases or dimensions. The most important ones are:

- A. Repetitiveness (frequency of use)
- B. Time dimension/ horizon (duration) &
- C. Scope/ breadth dimension.

A. Classification of plan based on repetitiveness:

Based on repetitiveness, plans are classified into two, as *Standing plans* and *Single use* plans.

1. Standing plans:

- Standing plans are plans that are used again & again; followed each time; and designed to deal with organizational issues or problems that recur frequently.
- They can limit employees' flexibility & make it difficult to respond to the needs of the customers.

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2.2. Types of plans(cont'd)

1. Standing plans(cont'd):

- By using standing plans management handles repetitive problems.
- Standing plans include mission or purpose, goals/objectives, strategy, policy, procedure, method and rule.

2. Single-use plans

- Single-use plans are developed to address a specific organizational situation.
- They are used up only once but not over & over again as the standing plans.
- They are not used up again once the objective is accomplished.
- Single-use plans are commonly three types, namely programs; projects and budgets.

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2.2. Types of plans(cont'd)

B. Classification of plans based on time:

➤ Plans in terms of time periods are **classified into three** as long term/ range; intermediate range and short range.

1. Long-range planning:

Long – range planning has longer time horizon; and usually concerned with the future direction of the organization but not concerned with the immediate future but with distant future. The time usually ranges from 5-10 years, but the time length is a relative term that depends on the size & the nature of the organization.

2. Intermediate-range planning

Intermediate-range planning ranges between long & short range planning; and they are usually developed for 1-5 years, but the time dimension can also vary depending on the size & nature of the organization.

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2.2. Types of plans(cont'd)

3. Short – range planning:

- Short-range plans are not developed separately.
- They are also taken as operational plans derived from the long ranging or intermediate plans. The time length is commonly taken as less than 1 year.

C. Classification based on scope/ breadth

Based on scope, plans are classified into 3 categories as *Strategic plan; Tactical plan & Operational plan.*

1. Strategic planning:

Planning that is strategic in nature; focuses on changing the competitive position and the overall performance of the organization in the long term. Strategic plan is a general plan outlining decisions of resources allocation, priorities, and action/ steps necessary to reach strategic goals.

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1. Strategic planning (cont'd)

- Strategic planning *is a process of analyzing & deciding the organization's mission, objective, strategy (major courses of action) and the major resource allocations.*
- It is developed by top level managers, mostly **long-range** in its time horizon, **expressed in relatively general, non-specific** terms & a type of planning that provides a general direction to the organization.

2. Tactical planning:

- Tactical plan is a plan aimed at achieving tactical goals and developed to implement specific parts of strategic plan.
- It refers to the process of developing action plans through which strategies are executed.
- **Departmental managers** in organizations are often involved in tactical planning.

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3. Operational planning:

- Operational plans focuses on carrying out technical plans to achieve operational goals.
- Operational planning is mainly short range; more specific & detailed.
- It is made at operational level & concerned with day- to day; week – to - week activities of the organizations.

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2.3. Planning process

- The planning process indicates the major steps taken in planning.
- And generally there are **10 steps** in planning process.

Step 1: Understanding the existing situation:

- Awareness to the external and internal environments to the organization is great important in planning to identify opportunities (O) & threats (T) and identify strength (S) & weaknesses (W) of an organization.
- Therefore managers must look at O and T as well as S & Ws, and understand what problems they wish to solve & why, and know what they expect to gain.
- Setting realistic objectives depends on this awareness.
- Planning requires a realistic diagnosis of the opportunity situation.

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Step 2: Forecasting:

- Forecasting is assumption what the future looks like. To decide where one wants to go, it is necessary to have information about what the future looks like.
- Planning is deciding what is to be done in the future. The future is full of uncertainties; the manager must make certain assumptions about it in order to plan properly. These assumptions are based on forecasts of the future.

Step 3: Establishing objectives:

- Objectives established for the entire enterprise and then for each subordinate work unit.
- They specify the expected results and indicate the end points what is to be done, where the primary emphasis to be located, & what is to be accomplished by the network of strategies, policies, procedures, rules, budgets, & programs.

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Step 4: Determining the alternative courses of action

- Determining the alternative courses of action is searching for & examining alternative course of action (strategies), especially for those not immediately apparent.
- The more common problem is not finding alternatives but reducing the number of alternatives.
- It is seeking out alternative courses and examining their strong & weak points.

Step 5: Evaluating alternative courses of action

- Evaluating alternative courses of action is assessing the alternatives by weighing them in light of premises and goals.

Step 6: Selecting a course of action

- Selecting a course of action is the point at which the plan is adopted.
- It is the real point of decision making.

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Step 7: Formulating derivative plans:

- Derivative plans are those support the basic or main plan.

Step 8: Numberizing plans by budgeting:

- After decisions are made & plans are set, the final step is giving them meaning.
- Budgeting is to numberize plans by converting them into budgets.
- The organization's budget represents the sum total of income & expenses.
- If done well, budgets become a means of adding together various plans & also set important standards against which planning progress can be measures.

Step 9: Implementing the plan:

- After selecting optimum alternative, the manager has to develop an action plan to implement it.

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Step 9: Implementing the plan(cont'd)

The manager must decide these issues:

- Who will do what
- By what date will the tasks be initiated & completed
- What resources will be available for the process (human & material)
- How will the plan be evaluated
- What reporting procedures are to be used
- What type & degree of authority will be granted to achieve these ends

Step 10: Controlling & evaluating the results:

- Once the plan is implemented, the manager must monitor the progress, i.e. evaluate the reported results, and make any modifications necessary.

CHAPTER TWO: MANAGERIAL PLANNING

2.4. Objectives

Types of objectives in organizations

- Objectives can be separated in to *two categories*: Organizational and individual.

- i. **Organizational objectives**: are the formal targets of the organization and are set to help the organization accomplish its purpose.

- They concern such areas as organizational efficiency, productivity, and profit maximization.

- ii. **Individual objectives**: which also exist within organizations, are the personal goals each organization member would like to reach through activity within the organization. These Objectives might include high salary, personal growth and development, peer recognition, and societal recognition.

A major problem arises when organizational objectives and individual objectives are not compatible.

CHAPTER TWO: MANAGERIAL PLANNING

2.4. Objectives (cont'd)

- Goals and objectives are commonly used interchangeably.
- They are closely related to planning.
- Goals and objectives represent the end point towards which all management functions are aimed.
- And also they are the desired future outcomes/ state end results. i.e. they represent not only the end point of planning but also the end towards which organizing, staffing, leading and controlling are aimed.
- They specify the expected results and indicate the end point of what is to be done; where the primary emphasis is to be placed and what is to be accomplished by the network of strategies, policies, procedures, rules, budgets and programs.
- Goals and objectives are the important ends towards which organizational and individual activities are directed

CHAPTER TWO: MANAGERIAL PLANNING

Purposes of goals

Goals serve four important purposes:

1.To provide guideline and direction

- **They provide guidance and a unified direction for people in the organization.**

2.To facilitate planning

- **Goal settings & developing plans to reach the goals should be seen as complimentary activities.**

3.To inspire motivation and commitment

- **Goals can serve as sources of motivation to employees of the organization.**

4.To promote evaluation and control

- **Goals provide an effective mechanism for evaluation and control.**

CHAPTER TWO: MANAGERIAL PLANNING

The Difference between goals and objectives

Although goals and objectives are commonly used interchangeably, they are differentiated as follows:

- Goals are the refinements of an organization's mission where as objectives state end-results and they are more specific and need to be supported by sub-objectives.
- Goals are broad where as objectives are narrow.
- Goals are general intentions; where as objectives are precise.
- Goals are intangible; where as objectives are tangible.
- Goals are abstract; where as objectives are concrete.
- Goals can't be validated as is; where as objectives can be validated.
- Goals can be likened to a mission and to complete the mission one has to complete certain tasks.

CHAPTER TWO: MANAGERIAL PLANNING

The Difference between goals and objectives (cont'd)

- Objectives make up a goal and they are SMART (specific; measurable; attainable/ achievable; realistic and time bound).

Example:

- Goal: To speak English fluently
- Objective: Take two college English courses in three months.
- Objective: Work with a language tutor once a week

Hierarchy of objectives/ goals

- Organizations establish different kinds of goals. Goals vary by level, area, and time frames.
- Goals/ Objectives form a hierarchy reaching from corporate purpose & mission down to individual goals as well as networks within an organization. Hierarchy of objectives is a series of objectives linked to one another.

CHAPTER TWO: MANAGERIAL PLANNING

Hierarchy of objectives/ goals(cont'd)

- Overall objectives need to be supported by sub-objectives.
- Each higher level objective is supported by one or more lower level ones. Managers at different level are concerned with different kinds of objectives.
- The **top levels** very much involve in determining the purpose/ mission & the overall objectives of the firm as well as the more specific overall objectives in the **Key Result Areas (KRAs)**.
- Middle levels are involved in setting of KRA objectives, division & department objectives.
- Lower levels primarily concerned in setting objectives of department & units as well as of their subordinates.
- Individual objectives consisting of performances & development of goals. Managers at the top level should set objectives for their performance & development.

CHAPTER TWO: MANAGERIAL PLANNING

Hierarchy of objectives/ goals(cont'd)

- **Key result areas (KRAs)** are areas where performances are essential for the success of the organization. They are operative objectives

Organizations can use to set objectives top–down approach or bottom–up approach:

- In **top–down approach** the upper–level managers determine the objectives for subordinates where as in **bottom–up approach** the subordinates initiated the setting of objectives for their position and present them to their superiors.
- Both approaches are important, but the emphasis should depend on the situation, i.e. the size of the organization; the organizational culture; the leadership style and the urgency of the plan.

CHAPTER TWO: MANAGERIAL PLANNING

2.5. Planning Techniques

Forecasting is one of the tools for planning and decision making. To plan, managers must make assumptions about future events. Forecasting is the process of developing assumptions or premises about the future that managers/planners can use in planning and decision making.

Forecasting techniques

To carry out various kinds of forecasting, managers use different techniques. The common models are the **quantitative forecasting techniques** and the **qualitative forecasting techniques**

1. The quantitative forecasting techniques

They use mathematical analysis. The most quantitative techniques are Time-series analysis and casual modeling.

CHAPTER TWO: MANAGERIAL PLANNING

Forecasting techniques(cont'd)

a. Time-series analysis

- Time-series is analysis forecasting technique that extends past information into the future through calculation of a best fit line.
- Time-series analysis assumes that the *past is a good predictor of the future*, it is most useful when the manager has a lot of *historical data are available*, *trends are stable*, *and patterns are apparent*.

b. Casual modeling:

- Casual modeling is a group of different techniques that determine casual relationships between different variables.
- The common casual modeling forecasting techniques are regression modes; econometric models and economic indicators.

CHAPTER TWO: MANAGERIAL PLANNING

Forecasting techniques(cont'd)

2. The qualitative forecasting techniques

The qualitative forecasting techniques are one of the several techniques that rely on individual or group judgments or opinions rather than on mathematical analysis.

a. The Delphi method/ procedure

A mechanism for managing group decision making activities; can also be used to develop forecast.

b. The jury-of-executive/ expert-opinion approach

involves using the basic Delphi process with members of top management. In this instant top management serves as a collection of experts asked to make prediction about something.

CHAPTER TWO: MANAGERIAL PLANNING

Forecasting techniques(cont'd)

c. The sales-force-composition method

- is the pooling of the predictions and opinions of experienced salespeople.
- Their experience enables to forecast quite accurately what various customers will do.

d. The customer evaluation/expectation

- Involves a survey of customers as to their future needs.
- It is collecting data from costumers of the organization.
- The customers provide estimate of their future needs for the goods and services that the organization supplies, and then the managers combine, interpret and act on their information.

CHAPTER THREE: DECISION MAKING

3.1. Meaning of decision making

- **Decision making is defined as a rational choice among alternatives.**
- **“If there is no option, there is no choice & no decision.”**
- **In decision making, manager is making judgments – reaching conclusion- from a list of known activities.**
- **Decision making is universal. It is the main part of all managers job.**
- **A management makes decisions constantly while performing management functions.**
- **Decision making is not a separate, isolated function of management, but the common core to other functions.**

CHAPTER THREE: DECISION MAKING

- Managers at all levels are engaged in decision making and make big & small decisions daily.

They make decisions while:

- Planning a budget
- Organizing a work schedule
- Interviewing a prospective employee
- Watching a worker on the assembly line
- Making adjustment to projects, etc.

3.2. Rational decision making process

Decision making process has seven (7) steps:

Step 1. Define the problem

- Defining the problem is the critical step.
- If the problem is inaccurately defined, every step in the decision making process will be based on that incorrect point.

CHAPTER THREE: DECISION MAKING

Step 2. Identify the limiting or critical factors

- Once the problem is defined, the manager needs to develop the limiting or critical factors of the problem.
- Limiting factors are the constraints those rule out certain alternative solutions.
- The common limitations are time, resources, personnel, money, facilities, and equipment. They narrow down the range of possible alternatives.

Step 3. Develop potential alternatives

- At this point, it is necessary to look for, develop & list as many possible alternative solutions to the problem as you can. These alternatives should eliminate, correct, or neutralize the problem.
- **Doing nothing** about a problem sometimes is the proper alternative at least until the situation has been thoroughly analyzed.

CHAPTER THREE: DECISION MAKING

Step 4. Analyze the alternatives

- This step is to decide the relative merits and demerits of each of the alternatives.
- If the alternatives conflict with critical (limiting) factors, they must be automatically discarded (rejected).

Step 5. Select the best alternative

- Here all the alternatives are listed along with their corresponding advantages and disadvantages.
- To select the alternatives, you must find a solution that appears to offer the fewest serious disadvantages & the most advantages.
- Take care not to solve one problem & create another with your choice.

CHAPTER THREE: DECISION MAKING

Step 6. Implement the solution

- **Managers are paid to make decisions and to get results from these decisions. A decision has to be put into effect.**
- **Everyone involved with it must know what s/he must do; how to do it; why & when.**
- **People must be told on their roles & must know exactly what they must do & why.**
- **Programs, procedures, rules or policies must be thoughtfully put into effect.**

Step 7. Establish a control & evaluation system.

Ongoing actions need to be monitored. It should provide feedback on

- **how well the decision was implemented**
- **what results are positive & negative , and**
- **what adjustments are necessary to get the results that were wanted & when the solution was chosen.**

CHAPTER THREE: DECISION MAKING

3.3 Types of decisions

1. Programmed decisions

- Programmed decisions are decisions managers make in response to repetitive & routine problems.
- If a particular situation occurs often, managers will develop a routine procedure for handling it.
- Most management faces a great number of programmed decisions in their daily operations. Programmed decisions should be made without expending unnecessary time & effort. In most organizations, programmed decisions are handled through policies; in some management scientists have developed mathematical models.

CHAPTER THREE: DECISION MAKING

2. Non – programmed decisions

- **Non – programmed decisions are decisions made for novel and unstructured problems. When a problem hasn't arisen in exactly the same manner before, or is complex or extremely important, it requires a non programmed decision.**
- **Non programmed decisions are more complicated. They require the expenditure of lots of money, worth of resources every year. Very little is known about this type of decision making. They are usually handled by general problem solving processes, judgments, intuitions, and creativity.**

CHAPTER FOUR: THE ORGANIZATION FUNCTION

4.1. Concept of organizing and organization

- **Grouping the work of organization and assigning workers to carry out the work with the provision of appropriate authority are undertaken in the organizing function.**
- **In organizing, managers must match the work, the workers, and the resources necessary to carry out the work. Organizing are boldly exploring new approaches to designing work, linking jobs, and coordinating activities.**
- **No single organizational structure can be effective in all situations. A structure suitable to one organization may be ineffective to another because two different organizations cannot have the same people, resources or objectives.**
- **Organizations should continuously adapt the challenges of competition. Organizations those do not revise their structures periodically with the ongoing global competition will face extinction/ death.**

4.1. Concept of organizing and organization (cont'd)

Organization is used in two different ways:

- I. One denotes the process of organization; and
- II. the other denotes the result of the process called organizational structure.

➤ As to the first sense organization is the process of defining and grouping activities and establishing the authority relationship among them.

In performing organizing functions, the manager differentiates and integrates activities of an organization.

1. **Differentiation** means the process of departmentalization or segmentation of activities on the basis of some homogeneity, or segmentation of the organizational system into subsystems.
2. **Where as integration** is the process of achieving unity of effort among different departments, or various subsystems while achieving the stated goals.

4.1. Concept of organizing and organization (cont'd)

- Therefore, organizing consists of dividing work among groups/ individuals and providing coordination between individual and group activities.

Definition of organizing

- Organizing is the process of establishing orderly uses for all resources in the organization.
- Organizing is the process of identification, classification and grouping of tasks that are necessary to achieve objectives and assigning of work to individuals and designing hierarchy of decision making relationship.
- Organizing is a managerial function; it leads to the creation of the formal organization and results in an organization structure.

4.1. Concept of organizing and organization (cont'd)

The main objectives of organizing are;

- **Determining what kind of activities should be performed to materialize objectives**
- **Classifying those activities and grouping them based on certain criteria**
- **Assigning the work to individuals and delegating authority**
- **Creating hierarchy of decision making**

5.2 Formal and informal organization

I. Formal organization

Formal organization is an organization that is deliberately and rationally designed and approved by management through organizing process to achieve organizational goals/objectives. It is planned structure of an organization which is deliberately created to attain desired objectives. It is a system with well-defined jobs, definite authority, responsibility, and accountability.

5.2 Formal and informal organization (cont'd)

Common characteristics of formal organization are:

- 1. Consciously designed:** Formal organizations are purposefully designed and established to attain certain end results.
- 2. Based on delegated authority:** In a formal organization, each employee has delimited authority; therefore, there is a superior-subordinate relationship.
- 3. Organizational chart is drawn:** An organizational chart shows jobs & departments, and it is the most tangible depiction/picture of an organizational structure.
- 4. Deliberately impersonal:** Positions in an organization are not personal properties. They are always open to someone who fits the position. People who meet the requirements of the job can fulfill the position.

5.2 Formal and informal organization (cont'd)

II. Informal organization:

- Informal organization refers to people in-group associations, but these associations are not specified in the structure of the formal organization.
- They are not included or established deliberately/ officially in the formal organization channel but formed adjacent to the formal organization. They always exist in the formal organization; nothing can destroy them; they can not be avoided. They are natural grouping of people in the work situation based on their behavioral patterns; interests; beliefs; objectives; etc..
- No conscious attempt is made to create it. Informal organization may affect formal organizations positively or negatively. Managers should recognize that it exists in a formal organization; and should try to use it for the benefit of the formal organization.

5.2 Formal and informal organization (cont'd)

Reasons for the formation of informal organization are:

- 1. *Mutual benefit:*** Members of an organization have their own personal interests that tied them to their colleagues so as to meet these interests.
 - ✓ Hence the communality of people's interest in the formal organizations leads to the formation of informal organization.
- 2. *Friendship:*** Members of an organization establish friendship among themselves due to different reasons.
 - ✓ This friendship among the members paves the way for the formation of informal organization.
- 3. *The need to fulfill social needs:*** A need to be the member of a society put the workers in the organization together.
 - ✓ Therefore, one of the mechanisms through which people in the organization meet their social needs is being the member of informal organization.

5.2 Formal and informal organization (cont'd)

4. *Physical work condition:* People working in the same unit are closely related.

✓ Hence, working in proximity or together is one of the reasons for the formation of informal organization.

5. *Administrative practice:* Some managers encourage while others suppress the formation of informal organization.

✓ Thus the type of management entertained by managers is the result for the establishment of informal organization.

Characteristics of informal organization:

1. **Group norms:**

- This is the core behavior among the workers in the informal organization.
- There are agreements/ rules and regulations which may not be written that govern the behavior of members.
- The members act accordingly with out showing any deviation.

cont'd

2. Group cohesiveness:

- **Members of the informal organizations basically have strong relationships. The more the group sticks together the more they will be successful in attaining the objectives.**

3.Group leadership:

- **Members in the informal organization select someone who is most active among the others as a leader, and such people are conventional leaders.**

4.Communication network:

- **It is also called grapevine.**
- **It is the network outside the formal communication channel established by the organization.**

5.2 Formal and informal organization (cont'd)

5.Lifespan and purpose:

- Informal organizations have short life span in comparison with formal organization.
- Therefore, they cease to exist when the members meet their interests and re-established when another need arises.

6.Existence of a number of informal organizations in a formal organization:

- The divergent nature of people's interest, their feeling, tradition, attitude, etc., lead to the formation of different informal organizations in a big formal organization.

7.Informal organizations gradually can develop into formal organization:

- Informal organizations gradually can be emerged as formal organization.

Advantages and disadvantages of informal organizations:

i. Advantages:

1. They are additional assets for the formal organization:

- If informal organizations are properly associated to the formal organization, they are additional assets for the formal organization because they may come up with innovative ideas to promote the work of the organizations.

2. They could be useful channels of communication:

- In the informal organization, information can be easily and rapidly reach the members of the organization through their informal ways of communication.

3. They provide satisfaction and stability in the organization:

1. When workers are given opportunity to establish the informal organizations, they entertain their idea that leads them to be satisfied and stable in the organization.

Cont'd

4. Their existence alerts managers to plan and act accordingly than otherwise:

- A manager becomes watchful more than any other time when there are informal organizations to check whether they are out of line or not.
- And if the activities seem against the interest of the formal organization, necessary measures are taken to normalize or reverse the condition.

5. They inform managers sensitive issues that would be embarrassing if formally released:

- Some information may destruct the normal organizational climate if formally released.
- In such cases, informal organizations informally disseminate the information to the group's endurance and then the manager also becomes aware of the consequences if formally communicated.

II. Disadvantages

- 1. *Resistance to change:*** There is often a tendency to resist changes.
- 2. *Role conflict:*** Both types of organizations have their own objectives. These objectives will not be the same and this may arise role conflict in the organization.
- 3. *Rumor:*** Managers may not equally release information to the members of the organization.
- ✓ **When there is too much secrecy or ambiguous situations informal organizations disseminate, distorted information.**
- 5. *Conformity:*** Some leaders of informal organizations may have hidden agenda or promote destructive actions, hence such leaders may use the members as an instrumental to create challenge to the leaders of formal organization.

4.3. Organization chart:

➤ The organizing process leads to the creation of organization structure, which defines how tasks are divided and resources deployed.

Organization structure is defined as:

1. the set of formal tasks assigned to individuals and departments;
2. formal reporting relationships, including lines of authority, decision responsibility, number of hierarchical levels, and span of managers' control; and
3. the design of systems to ensure effective coordination of employees across departments.

➤ The set of formal tasks and formal reporting relationships provides a framework for vertical control of the organization. The characteristics of vertical structure are portrayed in the organization chart, which is the visual representation of an organization's structure.

4.4. Departmentalization: Meaning and Bases

Departmentalization is the process of grouping/ combining jobs into groups or manageable units.

The main bases for departmentalization are :

- **function**
- **location or Geography**
- **product**
- **customer and**
- **process.**

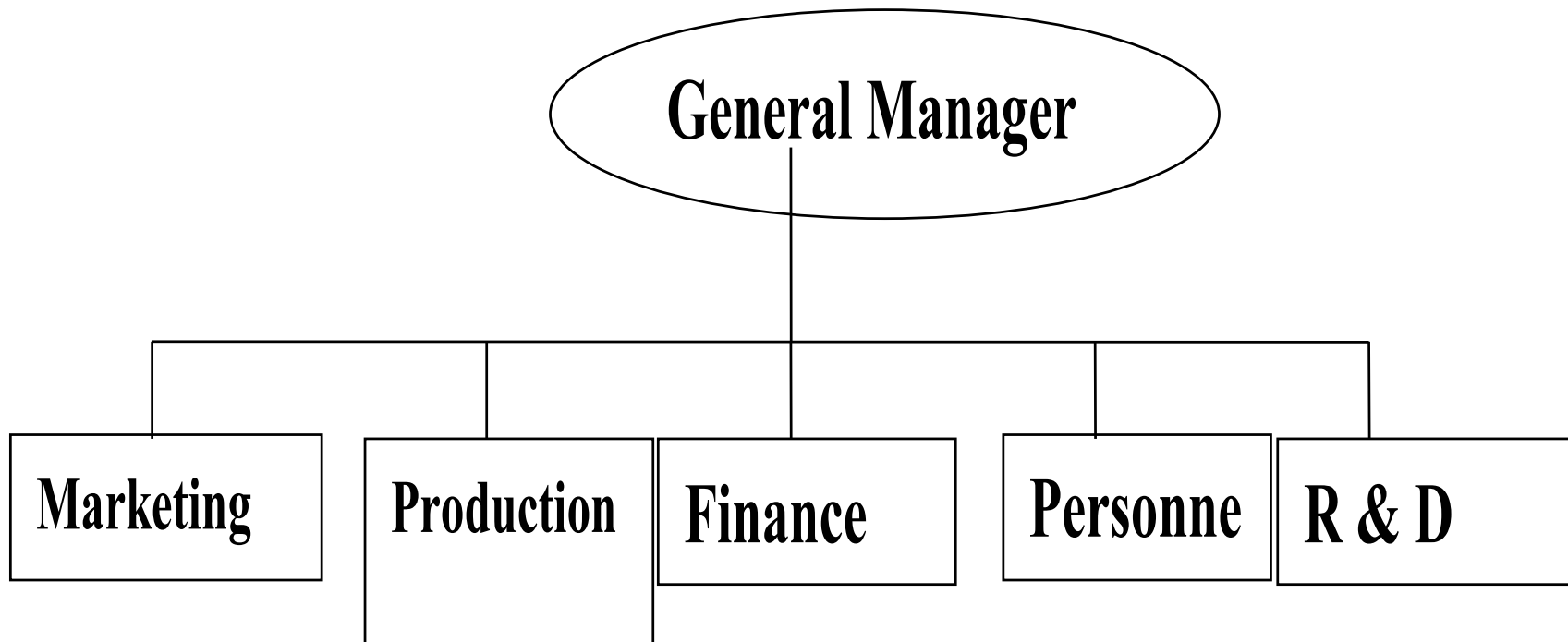
Hence the types of departmentalization are:

- **Functional departmentalization**
- **Geographic departmentalization**
- **Product departmentalization**
- **Customer departmentalization**
- **Process departmentalization and**
- **Multiple departmentalization**

1. Functional departmentalization

The common form where activities are grouped based on similarity in function or content. It is grouping jobs according to the functions of an organization. It is common for business firms. Within each department individuals perform specialized jobs.

Fig: Functional departmentalization for business firm



1. Functional departmentalization (cont'd)

I. Advantages

- 1. It promotes specialization and organizational efficiency.**
- 2. Avoid overlap performing basic businesses**
- 3. It provides unity of direction. Among members of the department, there is job interrelation.**
- 4. It facilitates staffing and training. If there are highly qualified staffs in a department, other workers will be initiated or encouraged to fill the position.**
- 5. It promotes communication within departments.**
- 6. Create strong team spirit among people working in one department.**

II. Disadvantages

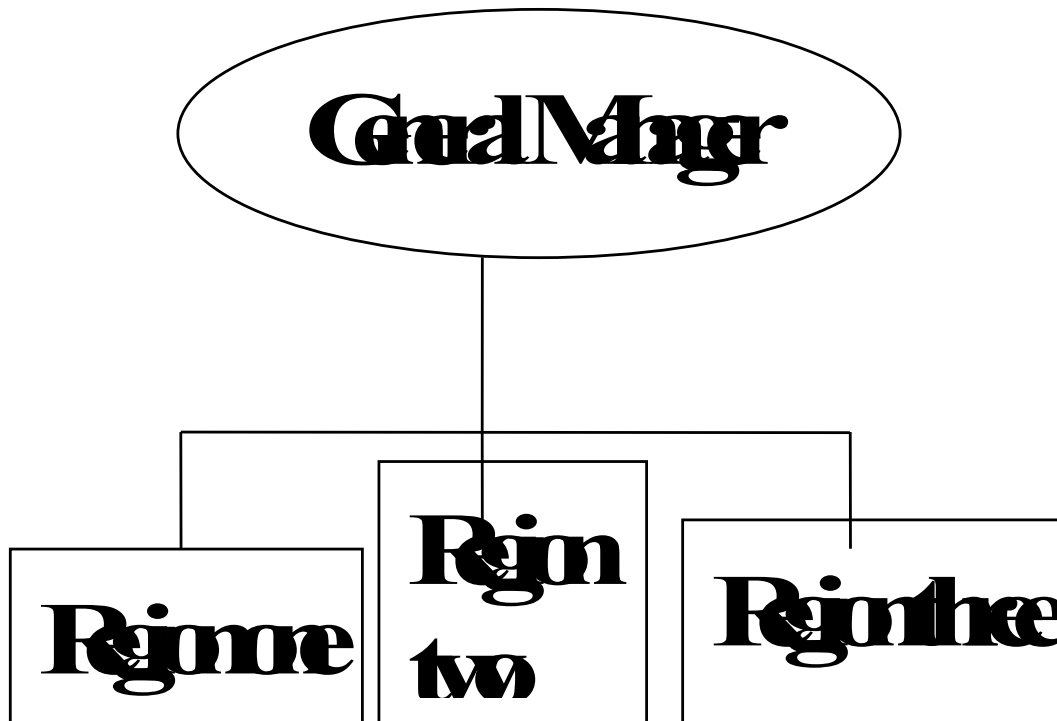
- 1. It has problems of horizontal coordination, i.e. Lack of understanding of interrelationship and dependency between all functions.**

II. Disadvantages of functional departmentalization (cont'd)

- 2. The tendency of “empire building”. Unhealthy competition will occur between/ among departments.**
- 3. It frustrates the development of managerial talents from the organization as a whole to top managerial position. There is a tendency for the manager who comes to the position of organization's to favor the workers in his department.**
- 4. focuses on departmental problems and objectives; and ignores organizational issues and objectives, i.e. Narrows the understanding of employees about the organization at large**
- 5. Create communication barrier among people with different specialization**
- 6. Department managers can not develop general managerial skills to take up higher managerial position.**
- 6. Lack of generalism and internal destructive competition among different departments reduces the success of the entire organization**

2. Geographic departmentalization

- It is also called location departmentalization or departmentalization by territory.
- It is grouping of jobs on the bases of geographic areas.
- It is established when a company has different branches that are geographically dispersed.
- The operations are similar from region to region



2. Geographic departmentalization

I. Advantages

- **It helps in exploiting local advantages.**
- **It provides a training ground for new managers, i.e. to place managers out of territory and then assess their progress.**
- **It enables the firm to develop local market areas and adjust quickly to local customers' needs**
- **It helps the company to reach close to raw materials.**
- **It saves a substantial amount of transport costs.**
- **It provides chance to local people employment opportunity.**
- **Create customers goodwill and awareness of local feeling and desire.**
- **Facilitate decision making**
- **It can provide a high level of service as employees know the local culture and language.**

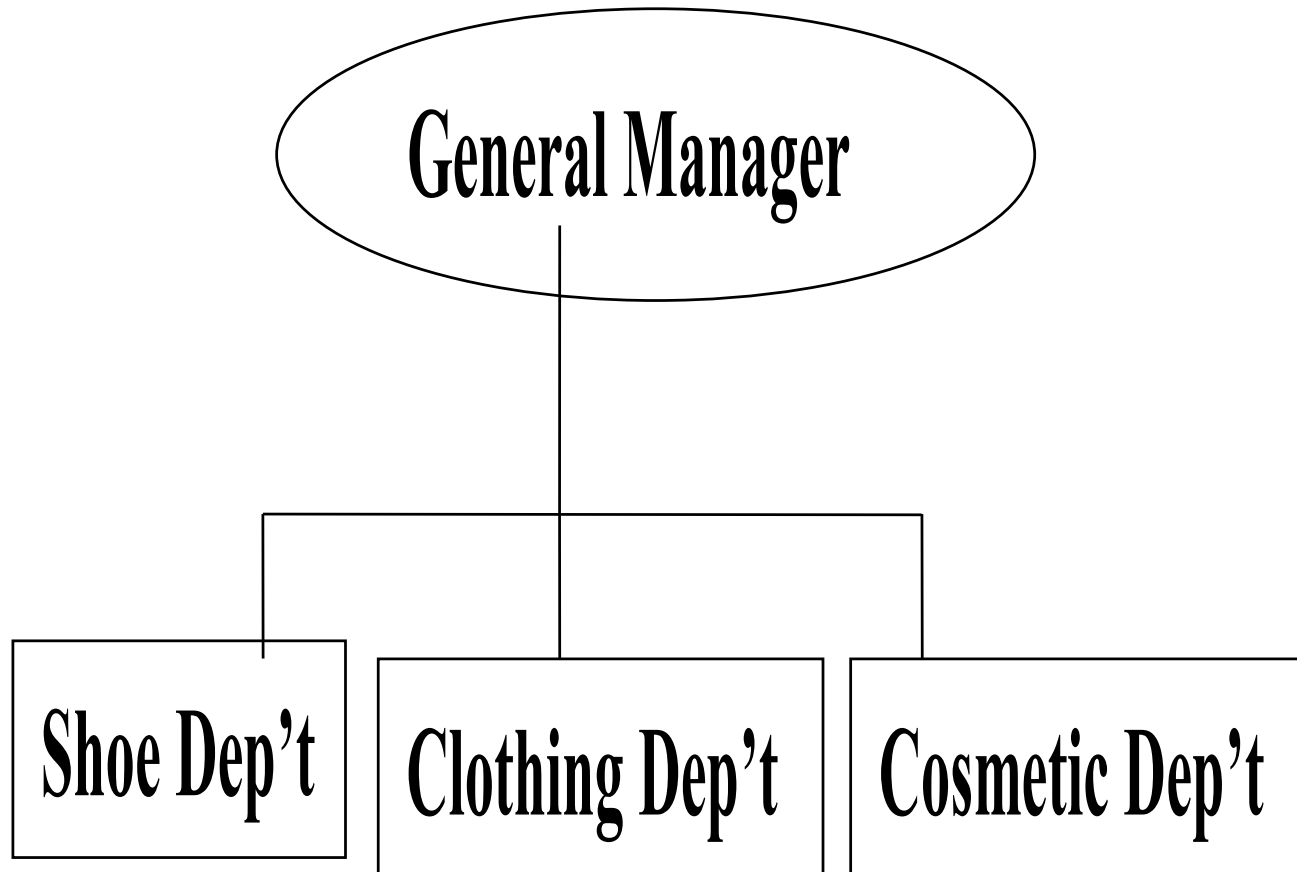
2. Geographic departmentalization

II. Disadvantages

- **Difficulties in maintaining consistent adherence to company policy and practices**
 - **Duplication of effort**
 - **The necessity of having a relatively large number of managers**
 - **It poses serious problems of coordination and control.**
 - **It may create gaps between head offices and branch offices.**
 - **It is costly to host many geographically dispersed departments.**
- A company uses territory as basis for departmentalization often needs a large head quarter's staffs to control dispersed operation.**

3. Product based departmentalization

- It is grouping on the bases of products (goods/ services).
- Such kind of departmentalization is best to a large and multiple product organizations.



3. Product based departmentalization

I. Advantages

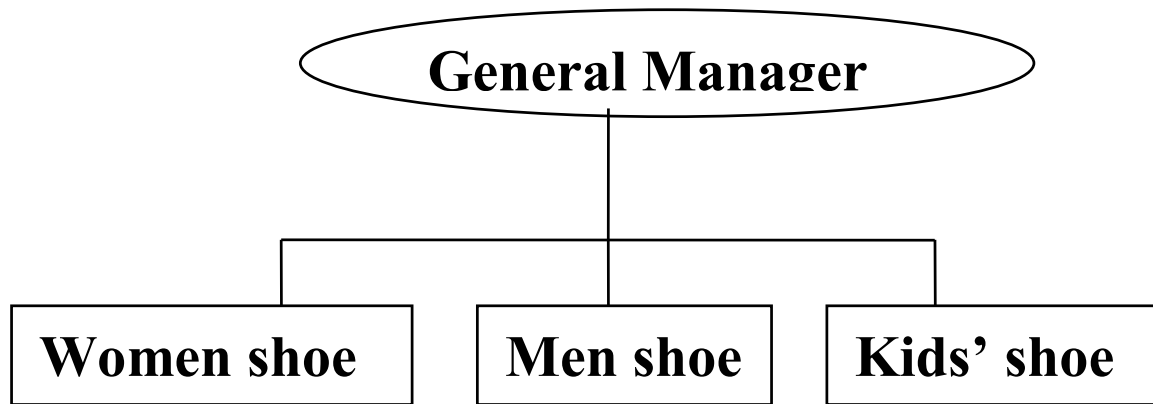
- **Allows workers to identify with a particular product and develop team spirit.**
- **It results in high product visibility.**
- **It facilitates innovation; and also enhances specialization of production.**
- **Stem from the need to create relatively independent division**
- **Each division has its appropriate personnel**

II. Disadvantages

- **Employees' insecurity during time of turmoil.**
- **Pressure for highly qualified managerial resources.**
- **It results in poor coordination across the product lines.**
- **Duplication of efforts among divisions**

4. Customer based departmentalization

It is grouping of tasks based on the type of customers served. Customers are the key to the way activities are grouped. Such forms of departmentalization are more common in banking, book publishing and food industry.



I Advantages

- **Customers' interest and priority is respected;**
- **Helps to meet customers' special needs by setting up separate departments**
- **Indicate the willingness to understand the business of its clients**
- **Workers are identified with a particular group of customers that create team spirit**

4. Customer based departmentalization

II. Disadvantages

- **It is almost impossible to consider all the customers, their interests, habits and customs.**
- **In the period of no or little demand for goods and services of an organization, some sections may not be profitable.**
- **There is a problem of duplication of resources**
- **Creates difficulty in coordination between departments**
- **High competition among departments may deter the overall organizational performance**
- **Requires manager and staff specialists similar with the customers' situation**
- **Differentiation among the various customer groups might be difficult**

5. Departmentalization by process

It is appropriate when departmentalization by production is inflow. Under it activities are grouped on the basis of various manufacturing process.

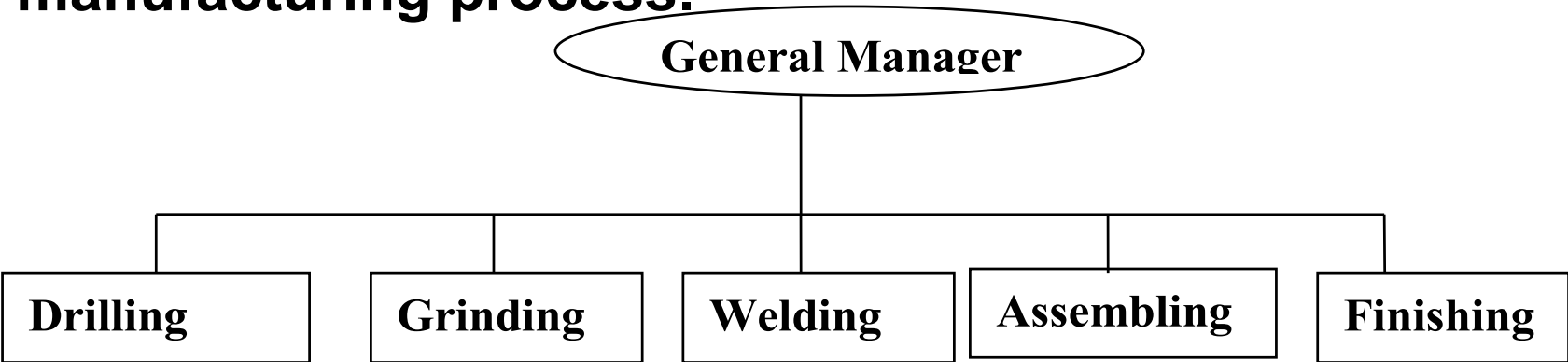


Fig: departmentalization by process

I. Advantages

- It is appropriate for organizing certain types of work.
- It helps to group production facilities.
- It puts full responsibility of completing each stage of the job.

II. Disadvantages

- Failure in one of the process may adversely affect the whole job.
- Due to sub specialization a worker has, he can not be shifted to another department, i.e. it restricts flexibility.

6. Multiple bases for departmentalization

It is the combination of two or more departments discussed above. It helps to divide work exhaustively. It is also a way of combining jobs into departments. E.g. matrix organizations

4.5. Span of Management

- **Manager can not supervise unlimited number of employees.**
- **There should be a limited capacity to control the work of different subordinates.**
- **The manager's ability to supervise a large number of subordinates is constrained by knowledge, experience, time, energy, etc.**
- **To overcome this limitation, every manager has to delegate work to subordinates.**
- **Span of management/ control refers to the number of subordinates that single manager can effectively supervise or should have to direct.**
- **There is no correct number for the span of control or there is no exact formula to determine the span of control.**
- **It varies from one situation to another**

4.5. Span of Management (cont'd)

As a general rule :

- **The more complex a subordinate's job, the fewer will be the manager's number of subordinates.**
- **The more routine the work of subordinates, the greater will be the number of subordinates that can be effectively directed and controlled.**
- **Because of these general rule organizations have a narrow span of control at the top and wider span at the lower levels.**
- **That is as one goes up the hierarchy, the fewer will be the number of subordinates. A well trained person/ subordinate follows directions and routines; master tasks; requires less supervisory of time and energy.**

4.5. Span of Management (cont'd)

Factors those influence spans of control of a manager are:

- 1. The ability & the experience of a manager;**
- 2. the complexity & variety of the subordinates' work**
- 3. the qualification of the manager and subordinates;**
- 4. growth in competence and experience in personnel**
- 5. The company's philosophy towards centralization or centralization in decision making.**

If the manager has:

- I. Too many people to supervise**, the subordinates will be frustrated by their ability to get immediate assistance from their boss; time & other resources could be wasted; plans, decisions & actions be delayed or made without proper control or safeguard.
- II. Too few people to supervise**, the subordinates could become overloaded or over supervised; and frustrated & dissatisfied.

4.5. Span of Management (cont'd)

III. The more capable & experienced the subordinates, the more that can be effectively supervised by one competent manager; the less time is needed to train & acclimate; the more there is to devote to producing output.

4.6. Authority and power: source of power

I. Authority

- **All managers in an organization have authority. They have different authorities based on the management position they occupy.**
- **Authority is described as institutional power.**
- **It is the right to act, or to give order/ command, or deploy resources in an organization. It is the power derived from the rights that comes with position.**
- **Authority represents legitimate exercise of power in the organization structure. With out authority a manager can not perform tasks with confidence and show results.**

4.6. Authority and power: source of power (cont'd)

Essential features of authority:

- It is the relationship between two individuals - one superior and the other subordinate.
- It is the right to act.
- It is the power to make decisions and seeing that they are carried out.+
- It is used to achieve organizational goals.

II. Power

Power is the ability to affect the behavior of others or power is the ability to exert influence on others, or the ability to do something.

In an organizational setting, there are different sources of power:

- **Legitimate power:** Legitimate power is Power granted through organizational hierarchy. i.e. power due to position

4.6. Authority and power: source of power (cont'd)

- **All managers have legitimate power over their subordinates.**
- **A manager can assign subordinates tasks, and subordinate who refuses to do them can be reprimanded or even fired.**
- **Such outcomes stem from the manager's legitimate power as defined and vested in her or him by the organization.**
- **Legitimate power then is authority.**
- **All managers have legitimate power over their subordinates.**
- **The mere possession of legitimate power, however, does not by itself make someone a leader.**
- **Some subordinates only follow orders that are strictly within the letter of organizational rules and policies.**
- **If asked to do something not in their job description, they refuse or do a poor job.**
- **So, the manager of such employees is exercising authority but not leadership.**

source of power (cont'd)

2.Reward power: is the Power to give /withhold rewards.

- Rewards that a manager may control include salary increases, bonuses, praise, recognition, and interesting job assignments.
- In general, the greater the number of rewards a manager controls and the more important the rewards are to subordinates, the greater is the manager's reward power.
- If the subordinate sees as valuable only the formally organizational rewards provided by the manager, then the manager is not a leader.
- But if the subordinate wants and appreciates the manager's informal rewards, then the manager is exercising leadership.

source of power (cont'd)

3.Coercive Power: is a Power to force compliance via psychological, emotional or physical threat.

- In the past physical coercion in organizations was relatively common. In most organizations today, however, coercion is limited to verbal reprimands, written reprimands, disciplinary layoffs, demotion and termination.
- The more punitive the elements under a manager's control and the more important they are to subordinates, the more coercive power the manager possesses.
- On the other hand, the more a manager uses coercive power, the more likely he is to provoke resentment and hostility and the less likely he is to be seen as a leader.

source of power (cont'd)

4.Reference power: is the power based on identification, imitation or charisma i.e. followers may react favorably because they identify in some way with a leader, who may be like them in personality, background, or attitudes.

- In other situations, followers might choose to imitate a leader with referent power by wearing the same clothes, working the same hours, or espousing the same management philosophy.
- Thus, a manager might have referent power, but it is more likely to be associated with leadership.

5.Expert power: is the power derived from information & expertise.

- It is the power resulting from a leader's special knowledge or skill regarding the tasks performed by followers.
- When the leader is a true expert, subordinates go along with recommendations because of his/her superior knowledge.

The relationship between power and authority

- **Authority is the power that has been legitimized by the organization.**
- ✓ **Where as power is ability to exert influence on others, or the ability to do something.**
- ✓ **Like authority, power is institutionalized and impersonal.**
- **In organizations, it is necessary to keep a balance between power and authority.**
- **In some cases a manager may have the authority (the right to do something), but may lack the power (ability to do something) and vice versa.**
- **Failure to associate power and authority at all organization levels may lead to disastrous consequence.**
- **‘Power with out authority may be abused and authority without power is totally meaningless.’**

4.6. Line and staff authority

- **The process of accomplishing organizational objectives through people entails the establishment of relationship among the members of the organization and different hierarchies of the management.**
- **This results the presence of the two distinct types of authority in business organization.**

I. Line authority:

- **Line authority is the relationship between superior and subordinates.**
- **It is directed supervisory relationship.**
- **It enables the manager to tell subordinates what to do.**
- **It is represented by the chain of command.**
- **It flows downward in an organization.**
- **A manager supervising employees or other managers has line authority.**

Staff authority

Staff authority is the right to give advice. It is advisory in nature. Thus the people in the staff position assist and advise the line manager. People in these positions have the authority to offer advice and recommendations. e.g. legal service; public Relation service. It is an advisory authority for manager. Advisory authority doesn't provide any basis for direct control over subordinates or activities of other departments.

4.6. Line and staff authority (cont'd)

II. Staff authority

- **Staff authority is the right to give advice.**
- **It is advisory in nature.**
- **Thus the people in the staff position assist and advise the line manager. People in these positions have the authority to offer advice and recommendations. e.g. legal service; public Relation service.**
- **It is an advisory authority for manager.**
- **Advisory authority doesn't provide any basis for direct control over subordinates or activities of other departments.**

4.7. Delegation, centralization and decentralization

1. Delegation:

- **Every manager must delegate duties to subordinates since management means getting work done through others.**
- **Effective managers normally delegate as many operation tasks as possible to subordinates and concentrate their efforts on core managerial tasks.**
- **Delegation is authorizing subordinates to act in a certain manner independently. It is a concept describing the passing of formal authority to another person or passing authority downward to subordinates. It helps to facilitate work being accomplished. It is delivering to another the right to act; to make decision; to requisition resources; and to perform other tasks in order to fulfill jobs responsibility.**
- **Delegation is a two side relationship, i.e. the assigner and assignee. It is an act of trust; an expression of confidence; requires necessary skills & strength, and requisite application and dedication to duties.**

4.7. Delegation, centralization and decentralization(cont'd)

Delegation occurs for two purposes:

- 1. When managers are absent from their jobs - Subordinates act on behalf and exercise authority.**
- 2. To develop subordinates and facilitate decision making process**

Process of delegation

- Assignments of tasks:-** Kinds of tasks to be performed by subordinate are identified and assigned to the subordinate
- Delegation of authority:** – for a subordinate to carry out the activity, the necessary authority should be given by the manager. A guideline for authority is that “no more no less”. i.e. It has to be adequate to complete the task.
- Acceptance of responsibility:-** When subordinates are assigned with duties and delegated authority, then they will be responsible or obliged to perform the tasks to the maximum ability they can perform.

4.7. Delegation, centralization and decentralization(cont'd)

4.Creation of accountability: - When subordinates are assigned for certain tasks and are delegated a certain authority, and then they will be accountable for the actions taken.

Accountability

- **Accountability is just having an answer to somebody; answer for the actions taken with regard to the tasks assigned and authority delegated.**
- **Accountability means taking the consequence- either credit or blame. If one accepts assignments and authority, s/he is answerable for the actions taken.**
- **A manager is accountable for the use of his/her authority and performance, and the performances and actions of subordinates.**

4.7. Delegation, centralization and decentralization(cont'd)

The process of delegation produces clear understanding on the part of manager and of the subordinates.

- **The manager should take time to think thoroughly what is being assigned and to confer authority necessary to achieve results.**
- **The subordinate accepting the assignment, obliged (responsible) to perform and is accountable for the results.**

To delegate a manager must be able to consider the following issues:

- **Analyze how the manager spends his/ her time.**
- **Determine the tasks that can be assigned:**
- **Decide which task can be handled by whom among the subordinates.**
- **Delegate the authority and create the responsibility.**
- **Control whether the delegated subordinates are performing the tasks to the expected standard or not.**

4.7. Delegation, centralization and decentralization(cont'd)

- In delegation, managers are required to think the principle of parity that states “authority and responsibility must coincide”; i.e. responsibility created should be equivalent to the authority granted.
- If employees are assigned tasks without authority, they can not perform tasks as expected because the necessary authority is not granted for them. Therefore, this creates frustration and anxiety.
- If employees are delegated more authority than the expected responsibility they discharge, they will interfere on the job of others and hinder others job.
- Both centralization and decentralization refers to the nature of authority within an organization structure. Centralization and decentralization are merely the results of circumstances.
- Absolute centralization or absolute decentralization is impossible in practice.

4.7. Delegation, centralization and decentralization(cont'd)

2. Centralization

- **Centralization is a systematic and consistent reservation of authority at central point within the organization.**
- **It is the concentration of authority for decision making within the hands of one or few.**

In centralization:

- **There is little delegation of authority**
- **Rules, power & discretion are concentrated at the top level**
- **Control & decision making reside at the top level of management**
- **The more highly centralized the organization, the more control and decision making will be exercised at the top.**
- **Centralization is essential in case of small organizations to survive in a highly competitive world.**
- **The larger the size of the organization, the more consent is the need for decentralization.**

4.7. Delegation, centralization and decentralization(cont'd)

Special circumstances forcing managers to reserve/ keep authority and centralize decision making power are:

- 1.To facilitate personal leadership:** Centralization generally works well in the early stages of organizational growth. Dynamic and talented leader can derive advantages in a small firm in the form of quick decisions, enterprising & imaginative action, and highly flexible.
- 2.To provide for integration:** Under centralization the organization moves as a unit. It keeps all parts of the organization moving together harmoniously toward a common goal.
- 3.To handle emergencies:** Centralization is highly suitable in the time of emergency because it helps to mobilize resources and information quickly. Centralization of decision making ensures prompt action necessary to meet the emergencies.

4.7. Delegation, centralization and decentralization(cont'd)

Centralization makes:

- **difficult for managers to process the bundles of data in time and take decision in an appropriate manner**
- **the manager burdened with a great amount of detailed & exhaustive work**
- **managers to work painfully long hours**
- **forces top management to possess a broad view they may have beyond their capacity. the vast amount of power given to a few people may be abused**
- **the organization is highly vulnerable to what happens to its dynamic and talented top management people**
- **Centralization floods communication lines to a few individuals at the top of the organization. As a result the speed of communication upward and decision processes are slow. Centralization kills the initiative; self reliance and judgment of lower level personnel.**

4.7. Delegation, centralization and decentralization(cont'd)

3. Decentralization

- **Decentralization is a systematic effort to delegate all authority to the lowest levels except that which can be exercised at central point.**
- **It is pushing down of authority and power of decision making to the lower levels of organization.**
- **The essence of decentralization is the transfer of authority from a higher level to the lower level.**

Some guidelines to identify the degree of decentralization in a company:

- 1. The greater the number of decisions made at the lower level of management, the more the company is decentralized.**
- 2. The more important decisions are made at the lower level, the greater is the decentralization.**

4.7. Delegation, centralization and decentralization(cont'd)

- 3. The more flexible the interpretation of the company policy at the lower levels, the greater the degree of decentralization.**
- 4. The more widely dispersed the operations of the company geographically, the greater the degree of decentralization.**
- 5. The less the subordinate has to refer to his/her manager prior to decision, the greater the decentralization.**

1. Advantages of decentralization

- It reduces the work load on overburdened manager.**
- It brings the decision making process closer to the scene of the action.**
- It facilitates product diversification. i.e. treats each product lines as separate and important.**
- It gives individuals an opportunity to learn by doing.**
- It facilitates effective control. i.e. often results in improved controls & performance measurements.**
- It ensures participative management.**

4.7. Delegation, centralization and decentralization (cont'd)

2. Disadvantages of decentralization

- 1. Conflict:** Decentralization puts increased pressure on each heads to realize profit at any cost. To meet this each deviate or veer away form corporate objective. i.e. leads to competition that may ultimately result in bitter individual rivalries.
- 2. Cost or duplication:** Decentralization results in duplication of staff effort. To be independent each division should have access to purchasing, personnel, etc. hence each carry a large group of specialists at numerous cost.

4.8. Groups and Committees(cont'd)

1. Groups:

A group is any numbers of people who (1) interact with one another, (2) are psychologically aware of one another, and (3) perceive themselves to be a group.

Kinds of groups in organization

Groups that exist in organizations typically are divided into two basic types: Formal and informal.

1. Formal group: is a group that exists in an organization by virtue of management decree to perform tasks that enhance the attainment of organizational objectives. Organizations actually are made up of a number of formal groups that exist at various organizational levels.

Formal groups commonly are divided in to command groups and task groups:

a. Command groups: are formal groups that are outlined on the chain of command on an organization chart.

4.8. Groups and Committees (cont'd)

b. Task groups: are formal groups of organization members who interact with one another to accomplish most of the organization's non routine tasks.

2. Committees

A committee is a group of individuals that has been charged with performing some type of activity. Committees are a more traditional formal group that can be established in organizations.

From managerial viewpoint, the major reasons for establishing committees are:

- to allow organization members to exchange ideas,
- to generate suggestions and recommendations that can be offered to other organizational units,
- to develop new ideas for solving existing organizational problems, and
- to assist in the development of organizational policies.

4.8. Groups and Committees (cont'd)

II. Informal groups: Informal groups, the second major kind of group that can exist within an organization, are groups that develop naturally as people interact.

An informal is defined as a collection of individuals whose common work experiences result in the development of a system of interpersonal relations that extend beyond those established by management.

Informal groups generally are divided into two types: interest groups and friendship groups:

a. Interest groups: informal groups that gain and maintain membership primarily because of a special concern each member possesses about a specific issue.

An example is a group of workers pressing management for better pay or working conditions. Once the interest or concern that causes an informal group to form has been eliminated, the group needs to disband

4.8. Groups and Committees (cont'd)

b. Friendship groups: are informal groups that form in organizations because of the personal affiliation members have with one another.

Personal factors such as personal interests, race, gender, and religion serve as foundations for friendship groups.

As with interest groups, the membership of friendship groups tends to change over time.

Here, however, group membership changes as friendships dissolve or new friendships are made.

CHAPTER FIVE: STAFFING AN ORGANIZATION

INTRODUCTION:

- **After jobs are identified, grouped & organizational structure is created, then comes the other managerial task staffing.**
- **Organizations possess and utilize different kinds of resources to achieve their objectives.**
- **These resources can be; materials, capital, machineries, money, information and men.**
- **Among these resources human resources is the most important one.**
- **Other resources remain futile and organizations are said to be lifeless without HR.**
- **Human resources have the ability to develop and improve their abilities and skills.**
- **As Robert Owen said human resources are the most important resources of an organization, which deserve special treatment, respect and dignity.**

Staffing Processes:

➤ **The managerial function of staffing is defined** as filling and keeping filled position in the organization structure through identifying work force requirement, inventorying the people available, recruiting, selection, Placing, promoting, appraising, compensating, training and developing both candidate and comment job holders to accomplish their tasks effectively and efficiently.

Staffing involves a series of steps:

- 1. HR planning (manpower planning)**
- 2. Recruitment and selection**
- 3. Placement & Employment decision**
- 4. Induction & Orientation (Socialization)**
- 5. Training and development**
- 6. Compensation & performance appraisal (PA)**
- 7. Separation, Promotion, Transfer & Layoffs**

Staffing Processes(cont'd)

5.1. HR planning (manpower planning):

- One can also define human resource planning as the process of determining the need of the provision of adequate human resources to the job in the organization.
- It is designed to ensure that the personnel need of the organization will be constantly and appropriately met.
- Through planning management strives to have the right number and the right kind of people at the right place, at the right time, to do things which would result in achievement of maximum long term benefit for both the individual and the organization.

It is accomplished through analysis of:

1. Internal factors such as current and expected skill needs, vacancies, and departmental expansions and reductions.
2. External environmental factors such as the labor market, the government regulation, the labor union etc.

5.1. HR planning (manpower planning) (cont'd):

- ✓ **As a result of this analysis, plans are developed for executing the other steps in the starting process.**
- ✓ **This helps an organization to determine the need of employees for short term or for long term.**

The activities generally seen in human resource planning are:

- **Forecasting about the future manpower requirements.**
- **Making an inventory of the present manpower and also finding out to what extent they are effectively deployed.**
- **Anticipating future manpower problems by comparing the forecasted requirements with that of the current manpower assessments.**
- **Planning the necessary programs and procedures to overcome the problems identified. The planning can be done for programs concerning, requirements, recruitment, selection, training, development, promotions, companions etc.**

5.1. HR planning (manpower planning) (cont'd):

Why human resource planning is needed?

- **To carry out the work of the organization, skilled and qualified manpower is needed. A good human resource plan would help the management in recruiting and selecting the best available personnel to carry out the activities of the organization effectively and efficiently.**
- **People leave organizations for a number of reasons like retirement, transfer, better opportunities in other organizations and it is the duty of the human resource department to replace them.**
- **A good human Resource plan would go a long way in trying to predict when the vacancies would be created and when the recruitment and selection should be carved out.**
- **Labor turn over and absenteeism seem among workers are also factors which make human resource planning important.**

5.1. HR planning (manpower planning) (cont'd):

Why human resource planning is needed?(cont'd)

- **In order to meet the requirements of expansions and diversification programs of the organization human resource is important.**
- **The present situation of fast paced change in technology and changing needs of the work force has also necessitated creation of an effective human resource plan to cope up with future uncertainties.**
- **Human resource planning will help the management in identifying the areas where there are surplus personnel. These surplus personnel can be transferred to other departments or can be assigned some other duties.**

5.1. HR planning (manpower planning) (cont'd):

Model of human resource Planning:

Basically a human resource plan consists of the following five phases or steps:

- **Determining future human resource requirement**
- **Determine future human resource availability**
- **Conducting external and internal environmental scanning**
- **The Concealing requirements and availabilities**
- **Action planning**
- ❖ **After developing the model of human resource planning the manager will try to audit the human content of the organization to decide on the quality and quantity of workers that might stay with the Organization for the future plan.**
- ❖ **Following the human resource audit the manager is also responsible to conduct job analysis to determine the vacant position available in the organization.**

5. 2. Recruitment :

- **This is the second stage in procurement process of any personnel department, the first being human resource planning.**
- **The recruitment process acts as a bridge between the prospective employees and the organization.**
- **Recruiting is the discovering of potential applicants for actual or anticipated organizational vacancies.**
- **Hence the main purpose of recruitment is to identify sources of manpower so as to satisfy the man power requirement of the organization.**
- **It can be considered as the most important function of the personnel department.**
- **Unless and until the organization attracts the best and the brightest professionals it would not succeed.**

5. 2. Recruitment (cont'd):

- Even the best personnel policies, the best devised plans and the latest technology cannot be harnessed properly if the manpower is of low quality.
- The process of recruitment is considered to be both positive as well as negative.
 - ✓ Positive because, stimulates people to apply for the vacancies created in the organization , and
 - ✓ negative because, it screens out or rejects the majority of applicants who don not match the broad job requirements.
- So, during recruitment the potential candidates will be pooled together through the advertisement of vacancies on mass media.

The vacancy to be announced to the candidates should incorporate at least the two statements:

1. The job description statements and
2. The job specification statement

Job description- is the written record of duties, responsibilities and requirements of a particular job. It gives information of about the title, locations, duties, working conditions and hazards. It is the description of job quality characteristics.

Job Specification -It is a statement giving the requirements of personnel who should be made responsible for a given job. It gives information regarding the characteristics, qualities (physical, psychological and demographic), qualifications, experience, etc, of the worker who is most suitable to carry out the activities mentioned in the job description. So it is a statement specifying the characteristics of the worker occupying the position.

5. 2. Recruitment (cont'd):

1.Job description:- is the written record of duties, responsibilities and requirements of a particular job. It gives information of about the title, locations, duties, working conditions and hazards. It is the description of job quality characteristics.

2.Job Specification:- It is a statement giving the requirements of personnel who should be made responsible for a given job. It gives information regarding the characteristics, qualities (physical, psychological and demographic), qualifications, experience, etc, of the worker who is most suitable to carry out the activities mentioned in the job description.

5. 2. Recruitment (cont'd):

Sources of Recruitment:

1. Internal Recruitment (Recruitment from within):

- This involves recruitment from within the organization; it could be through promotion, demotion or lateral transfer.
- The employees who already are a part of the organization are given an opportunity for filling up vacant positions.
- Here, not only the existing employees but also ex-employees of the organization who left the organization for various reasons belong to the internal source of recruitment.

The advantages of these sources are:-

- Employees have high moral because they are sure of getting relations for the hard work they put in to the organization growth.
- The old employees can be better evaluated than out sides

5. 2. Recruitment (cont'd):

Sources of Recruitment:

The advantages of Internal Recruitment (cont'd):-

- **Since the organization gives preference to existing employees in filling up vacancies, job security is more and also the opportunity for advancement is higher which enhances employee loyalty towards the organization.**
- **Minimum time needs to be spent on training since the employees are already used to the organization policies, procedures and philosophy.**
- **Employees selected from the internal sources are generally more reliable because they have more loyalty to the organization than a new comer.**
- **Recruiting from the internal sources is much cheaper than the external source.**

5. 2. Recruitment (cont'd):

Sources of Recruitment:

The disadvantages of Internal Recruitment are:-

- Too much dependence on the internal sources will lead to inbreeding and discourages people with fresh ideas, more qualification and more creativity room entering the organization.

2.External source of Recruitment

- Here the potential candidates are totally coming from the external environment i.e. Out side the organizations and generally these sources are new entrants or fresh products, the educated, but unemployed section of the society, employees of other organizations, retired persons, etc.

5. 2. Recruitment (cont'd):

The advantages of external sources are:

- **The management need not compromise in their recruitment; they can get the best professionals available in the market with the required experience, skill, education etc.**
- **Recruitment can be done which might include all sections of the society**
- **Fresh blood can be pumped in to the organization personnel who are creative and who are specialists can be attracted.**

The disadvantages can be:

- **Adequate time and money needs to be spent on training and induction**
- **Chances of brain drain or the employees being recruited by other organizations increase**
- **The whole process of external recruitment is more expensive than internal**

5. 2. Recruitment (cont'd):

Methods of recruitment

- i. Direct method recruitment:-** The recruiters are sent directly to the colleges, universities, educational institutions, and contact the graduating students and select the best among them. The recruiters also contact the prospective employees directly, the recruiters may hold conference and seminars for the prospective employees and encourage them to apply for vacancies, and the recruiters may participate in job exhibitions or job fairs to attract prospective employees.
- ii. Indirect method:-** In this method the organization encourage prospective employees to apply for vacancies through advertisements in newspapers, magazines, journal etc. Generally the advertisements for top-level position are given in national newspapers and for lower level and workers advertisements are given in regional newspapers.

5. 2. Recruitment (cont'd):

- The advertisements could be detailed (name of the organization, type of the job, salary and other benefits etc) or bind (only the type of job and p.o.box number).

III. Third party method: -

- There are many private employment agencies which carry out the recruitment process of an organization for a fee.
- Governments also have employment exchange which provide organizations with man power.
- Placement services of colleges and universities, trade unions etc, are also part of the third party method of recruitment.

5. 3. Selection

- Selection is the procedure, which is concerned with securing and extracting relevant information about an applicant. Its objective is to Determine whether the applicant has the required qualifications for a specific job or position and in hiring the best candidate among all the applicants.

5. 3. Selection (cont'd)

Selection process

1.Application blank:- The applicants are made to fill up a predesigned application form which tries to extract detailed information about the applicant's personal information (name, age, sex, family background etc) educational qualifications, training programs, undergone, work experience, salary expected, future career plans, self assessment of previous work, reasons for leaving the current or previous employer etc, or the applicant is asked to submit his/her bio-data instead of filling up the form.

2.Preliminary interview: - This is generally done by a junior executive of the human resource department where in the general information about the company and the job/position is given and brief information about the applicants, educational and professional qualifications are obtained. Observation is also made of the general physical feature and physical fitness of the applicant.

5. 3. Selection (cont'd)

Selection process(cont'd)

3.Final Interview:- Interview is the most widely used selection tool.

It is a complex process in which the interviewer tries to form an opinion about the interviewee's personality, intelligence, technical competence, interests, attitudes etc. through face-to-face interaction.

It is an attempt to secure maximum amount of information from the candidate concerning his/her suitability for the job under consideration.

This technique can also be used for purposes other than selection like, in performance appraisal, in grievance handling, in disciplinary action, for counseling and other general problem solving.

5. 3. Selection (cont'd)

The basic objectives of interviews would be:

- **To properly judge an applicants qualifications and characteristics**
- **To give the applicant important and relevant information about the job and the organization**
- **To establish a good rapport with all the candidates attending the interview**
- **To promote the good will of an applicant towards the organization, immaterial of the out come to the selection process**
- **To help the management in grievance handling in conduction of disciplinary actions and in interactions with the workers union**
- **To observe the applicants, appearance personality, confidence level etc.**

5. 3. Selection (cont'd)

Types of interviews

- a. Patterned or structured interview:-** is a very common type of interview in which the focus is on asking structured predetermined questions in a strict sequence. There is little or no deviation of the sequence of questions and most of them are job/skill oriented.
- b. Non-directive or free interview:-** is unstructured and unplanned. The basic aim of this type of interview is to judge the real nature of the applicant. General, unstructured questions are asked and the candidate is given adequate time to answer in detail.
- c. Depth or Action interview:** is semi structured, where structured questions are asked in intervals of unstructured questions or conversations. It is a combination of the patterned and free interview styles. The aim of this interview is to obtain detailed information about both the personal as well as the professional life of the interviewee.

5. 3. Selection (cont'd)

d. Group or Discussion interview:-The interview is held for more than one candidate and the role of the interviewer becomes that of the observer, where in he tries to identify the persons with the required qualities for the concerned job. The group of candidates is given a topic or a problem for discussion and the observers identify the persons who are having good leadership skills, who influence the discussion, who are good analyzers, who have good communication skills etc. and select the ones most suitable for the given job.

e. Panel or board interview: It is an interview in which the number of interviewer would be many and the interviewee will be one. The panel (board) consists of expertise of different areas.

f. Stress interview: It is in which the interviewer pretends to be hostile & provokes the candidate by asking questions rapidly by criticism & trying to annoy him.

5. 3. Selection (cont'd)

Stress interview is conducted to find out the reaction of the candidate under pressures & also to observe the presence of the mind of the candidate when he is angry or confused.

g. Physical examination: It is checking the physical fitness of the candidates

Medical examination of the candidate before employment is a necessary step in the selection process. To prevent the existing employees from the communicable diseases & unwarranted claims in the form of medical & insurance expenses

This step is necessary for 3 vital reasons: to assure that the applicant is fit to work in the organization, to assure that the candidate is physically fit for placement in a particular job, to provide base against which later physical examination may be compared. (- is important in the disability claims that may occur during the job assignments)

5. 3. Selection (cont'd)

4. Reference letters/ Reference check & background investigation: Verification of information obtained from the candidate's application form & selection interview.

After a candidate has passed successfully all the above stages in the process of selection, a reference check is made where in the HR manager gets in touch with the current or previous employer of the candidate and find out relevant details.

This is done to see whether the candidate has furnished correct details & also to cross check the suitability of the candidate for the given position.

Include:

- ✓ letter of recommendation;
- ✓ references;
- ✓ testimonials, etc... from the former employers so that it is possible to know the competence of the candidates.

5. 3. Selection (cont'd)

5. Final selection & communication (Job offering): After getting a positive reference, a final list of selected candidates is made & this information is passed on to the candidates, the concerned line managers & other people.

4. Decision making and Placement(4th step in staffing process)

The candidates who have been selected should be given placement letters that state their employment and specific positions, and other employment related matters.

5. Induction & Orientation (Socialization)

When the candidate is selected and offered a job, it is necessary to introduce the new employee to the organizations philosophy, rules, policies, etc.....then the new employee begins his work. He should be assimilated to the job & organizational environment.

5. 3. Selection (cont'd)

5. Induction & Orientation (Socialization)(cont'd)

Induction & orientation have to do with familiarizing the new employee with the organization.

The employee will be given information on the organizations history, products, operations, policies & rules, services available, opportunities & other issues.

Induction & orientation are the two important tasks to be accomplished to ensure smooth organizational membership of a new employee.

They are assimilation & socialization of a new employee.

Induction- Refers to the process of familiarizing a new employee with the overall organizational environment through the provision of adequate information to bring about change in new employee's expectation, behavior, and attitude in order to assure the best match with organizational interest.

5. 3. Selection (cont'd)

5. Induction & Orientation (Socialization)(cont'd)

It involves providing information about the organization's history, purpose, operations, products/services and his contribution to the organization and needs & benefits for the new entry. It is done through the interaction of the employee, the immediate supervisors & personnel.

Orientation: -It is designed to enable new employee to familiarize with working environment through the provision of adequate information. It involves discussion between a manager & employee regarding the job assignment including specific location, rules and procedures of the work as well as the materials, equipments needed to do the job.

5. 3. Selection (cont'd)

5. Induction & Orientation (Socialization)(cont'd)

The purposes of induction & orientation:

- **Reduce the start-up cost - enable a new employee to meet performance standards sooner.**
- **Reduce anxiety - employee fear of failure on the job can be avoided, and he develops self confidence.**
- **Decrease turn over - provision of all kinds of information during the entry time make new employee stable in the organization.**
- **Save time to supervision - reduce the time of a supervisor to supervise and observe the performance of an employee.**

5.4 . Training and development

Training:

Training becomes necessary because of the changing technology, up-production of skills & knowledge of workers, the need to increase the productivity of the workers, etc.

Training is any process by which the aptitudes, skills and abilities of employees to perform specific jobs are increased. It is the act of increasing the knowledge & skills of employee for doing a particular job; and a process of learning a sequence of programmed behavior which help the trainees in improving their job performance and better apply their knowledge.

Training is designed to improve a person's skills to do the current job at high level from the first day they start working. To ensure improvement in person's skills & knowledge to perform the work through training, effective training system should be designed

5.4. Training and development (cont'd)

Objectives of Training:

- **To make the workers perfect in their work**
- **Proper training would help the worker in producing quality product**
- **Training will help the management in developing personnel for future expansion or diversifications**
- **A good and well-planned training program will help in improved performance**
- **Proper training will help the worker in adopting safe work procedures**
- **Proper training will help the worker in adopting safe work procedures**
- **Training will help the worker in avoiding them from being obsolete**

5.4. Training and development (cont'd)

Importance of training:

It is important that the employee be indicated into training programs to improve their knowledge, skills and future performance.

The need for proper training is increased by the following considerations:

- Increased productivity**
- Improvement in employee moral**
- Availability for the future personnel needs of the organization**
- Improvement in health and safety**
- Reduced supervision**
- Personal growth**
- Organizational stability**

5.4. Training and development (cont'd)

Steps in designing effective training:

- 1. Need assessment-assess the needs for training based on organizational analysis, person analysis & task analysis.**
- 2. Assessment of employee readiness-Consider whether employees are motivated to learn.**
- 3. Creation of learning environment -Lay a foundation for successful training by creating the conditions under which employee will learn best.**
- 4. Ensuring transfer of training -Ensure that employee will be able to apply what they have learned to their jobs.**
- 5. Selection of training methods-Consider the possible training methods & select those that will be most appropriate.**
- 6. Evaluation of the training program-Evaluate the outcome of the training program.**

Methods of training:

On-the-job-training:- In this type of training, an employee is put on the work floor directly and is assigned to a superior or an experienced co-worker who teaches/guides him in how to do the work practically. These methods are parts of the every day job activity of the organization. This is the most common method of training, because it is practical it is practical oriented, less expensive and the focus is on the job. The various techniques used under this method are, coaching (understudy) apprenticeship, where the supervisor or an experienced worker gives personal and in-depth guidance to an employee or subordinate.

Off the job-training- This type of training is given to the trainees away from the work floor and is not the every day activity of the organization. The trainees are imparted theoretical knowledge in a classroom or a training center and the most popular kind of off the-job training methods are lectures, conferences, group discussions, case studies, etc.

Methods of training (cont'd):

Vestibule/Simulated training: - This is a combination of on the job training methods.

In this method identical machines and equipment, which are used on the work floor, are installed in a training center and also an effort is made to imitate work atmosphere found on the actual work floor.

This method tries to give the trainees a chance of getting trained in a situation that is as close to the original work situation as possible.

Here the work environment is almost similar to the actual environment, but is not the real environment. Eg. Training given for a pilot.

5.5. Performance Appraisal and Compensation

- **Performance appraisal is a process of evaluating an employee's performance of the job assigned.**
- **Performance appraisal is a step which tells the management how effective their processes of recruitment, selection, and training are.**
- **It basically involves the estimation of the value, excellence and quality of the personnel of the organization.**
- **Performance appraisal is also called as merit ratings, employee evaluation, progress report, staff assessment etc.**

Objectives of performance Appraisal

- **It helps the management in maintaining the inventory of man power along with their quality and worth for the organization**
- **A good performance appraisal helps the management in identifying and meeting the training need of the employee**

5.5 . Performance Appraisal and Compensation (cont'd)

- **It helps the management in deciding about salary increments, incentives and in deciding who should get promotions, transfers and demotions.**

Performance Appraisal Process:

- **Establishing performance standards:-** performance standards are developed at the time of developing job descriptions and job specifications. These standard should be clear, precise, and objective oriented.
- **Communication of standards to employees:-** Performance standards should be communicated to all the concerned employees, because unless and until the employees are aware of the standards, they will not be in a position to meet them.
- **Measurement of the actual performance:-** In this third stage the actual performance of the employees is noted and the information about the employees performance is collected through personal observation, written report, oral report etc.

5.5 . Performance Appraisal and Compensation (cont'd)

- **Comparison of the actual performance with that of the standard:-** This comparison is also used to identify the most promising employees who have the potential for growth and advancement.
- **Communication of the results:-** These results are communicated to the concerned employees and discussions are held with them to identify their strengths and weaknesses and also to identify the difficulties in carrying out their activities. Objective discussions and accurate information about the performance will help the employee in bettering his performance.
- **Corrective actions:-** If there are any short falls in the performance of the employees the management along with the concerned employees should identify the reasons of the short falls. After the reasons are properly identified, the ways and means of overcoming these difficulties are devised and implemented.

5.5 . Performance Appraisal and Compensation (cont'd)

Compensation

People work in organizations for the sole purpose of earning enough money to live comfortably and satisfy all their needs. Wage and salary administration is the establishment and implementation of sound policies and practices of employee compensation. Compensation is just the reward for the work done by an employee and it should be balanced so as to keep the parties, the employer and the employee happy and satisfied.

Factors affecting compensation policies of the organization

- Organizational ability to Pay:-** The organization should have enough funds to pay enough salary or wage to the employee.
- Supply and demand of labor:-** If the supply of labor is more than the requirement then the management can pay less wages and salaries to its employee and reverse in case of less supply.

Factors affecting compensation policies of the organization

- **Prevailing market rate:** - The going wage rate or salary in the industry also influences the wage and salary policy of the organization.
- **Cost of living:-** The cost of living differs in different cities
- **Productivity:** - The level of productivity of the workers also has an impact on the kind of wage/salaries they get; more productive workers get more salaries.
- **Bargaining Power of the worker's unions:-** Powerful worker's union generally have a lot of influence on kinds of wages and salaries given by the organization
- **Job requirement:** - Some jobs are more hazardous and dangerous than others and the employees understating them would get more pay than others who are in relatively safer positions.
- **Managerial attitude:** - The top management has a lot of influence on the wage and salary administration.

Types of incentives

Intrinsic rewards: - These are rewards which a worker receives for himself and are totally dependent on the kind of work done by him. These individual incentives could be in the form of participation in decision-making , job freedom, more responsibility, more interesting work assignment, opportunity for personal growth etc.

Extrinsic rewards: - These incentives are meant for all the employees of the organization and they can be :

- **Direct compensation:** - These incentives are given to all employees of the organization and basically are monetary in nature and the payment is made immediately like salaries or wages paid to the employees , over time earning's, holding premiums, performance bonus, profit-sharing, etc.
- **Indirect Compensation:-** These incentives are realized at a later period of time, generally once in a year or at the time of retirement like group insurance schemes, contribution for provident fund services etc.

The time and mode to payment

There are two basic methods of payment:

1. Payment on a time basis

- **is more satisfactory when Units of out put are not distinguishable and measurable.**
- **Employees have little control over the quantity of out put or there is no clear-cut relation between effort and out put, as on some machine-paced jobs.**
- **Work delays are frequent and beyond employees' control. Supervision is good, and supervisors know that constituter's a fair day's work**

2. Payment on the basis of out put is more satisfactory when:-

- **Units of out put are measurable**
- **A clear relation exists between employee effort and quantity of out put.**

The time and mode to payment (cont'd)

2. Payment on the basis of out put is more satisfactory when(cont'd):-

- **Units of out put are measurable**
- **A clear relation exists between employee effort and quantity of out put**
- **The job is standardized, the flow of work is regular, and break downs are few or if many consistent**
- **Quality considerations are somewhat less important than quantity of out put**
- **Supervision is unsatisfactory, or supervisors cannot devote enough attention to individual performance**
- **Competitive conditions and lost control make it imperative that labor costs per unit be definite and fixed in advance, as in the shoe and clothing industries**

5.6 .Separation, Promotions, Transfers and Layoffs

Separation

Separation: refers to the discontinuation of the relation between employee & the employer. It is the final HRM function. Like other functions it requires preparation & planning.

Separation can be initiated by:

- the employers like - mandatory retirement; dismissal; layoff
- the employees like - resignation; voluntary retirement; quit
- the agreement - when the contract ends; or they can also be caused by things outside the will of both the employer & the employee (accidents, death)

Causes for separation:

Causes for separation of employee from the organization mainly are retirement; layoff; dismissal; permanent; disability; resignation; quit; outplacement.

Cont'd

Promotion: is the advancement of an employee to a better job. Characteristics of 'better job' to which an employee seeks promotion are greater responsibilities, more prestige or status, greater skill, and specially increased rate of pay or salary, better hours or better locations or working conditions. If the job doesn't involve greater skill or responsibilities & high pay, it should not be considered as promotion. Upgrading refers to a practice related to promotion, but it amounts to a small scale advance in status. It is the movement of an employee to a more responsible job within the same occupational unit and with a corresponding increase in pay.

Transfer: is the movement of an employee from one job to another on the same occupational level of wage/ salary. No appreciable increase or decrease in duties and responsibilities involved but there may be a change in their specific nature and in working conditions.

Cont'd

- Some transfers entail a decrease in job duties and especially in pay, and called downgrading or bumping. It is more frequently used to protect employment opportunities for employees displaced from higher rated jobs. It is moving to less desirable jobs.

Layoff: Layoff occurs when there is lack of business or budget curtailment/ shortage. It is forced reduction of the number of employees.

- It is the most frequent type of separation of employees from the employed workforce.
- Layoff is unlike quits, retirements or deaths, it doesn't necessarily involve a permanent separation from the payroll.
- Laid-off employees normally expect to be rehired by their employer when conditions improve.

Quits-Quit refers to the voluntary movement of the worker from the organization such as health problem resignation.

CHAPTER SIX: DIRECTING FUNCTION

6.1 Meaning and the need for leadership

- **To achieve organizational objectives HR should be directed towards the accomplishment of goals. Hence, the successful achievement of organizational objectives is greatly the manifestation of the managers' ability to lead employees.**
- **Planning, organizing & staffing are simply the preparation for doing the work and the actual work starts when managers start performing the directing function.**
- **Different authors define leading in different ways, but the general ideas of each definition give the same messages.**
- **Therefore, directing is simply defined as the process of influencing people so that they will contribute to the organization & group goals or actuating organizational members to work efficiently & effectively for the attainment of organizational goals /objectives**

6.1 Meaning and the need for leadership (cont'd)

- **Influencing means motivating people to contribute their maximum efforts for the achievement of organizational goals; but it does not mean coercing/ forcing, imposing sanctions or pushing people at the behind.**
- **Directing is a management function performed by the top level management. It is aimed at getting the members of the organization to move in the direction that will achieve organizational objectives.**
- **And it is also the interpersonal aspect of management which deals with influencing, guiding, supervising & motivating the subordinates for the accomplishment of the predetermined objectives.**
- **Directing is the process of integrating the people with the organization, so as to obtain their willingness and enthusiastic co-operation for the achievement of its goals. It is the heart of managerial functions because it involves with initiating actions.**

Elements of directing

- **Employees as individual or group members, contribute their efforts & abilities to achieve organizational goals which can result in advancement towards their own individual or group goals.**

There are three elements of directing that helps managers to influence people contribute willingly for the achievement of organization goal. These are:-

i. Leadership:

- **To lead is to guide, direct, conduct & proceed. Leaders act to help a group to achieve objectives with the maximum application of their capabilities.**
- **Success of a business concern is dependent upon the ability of its leadership, leadership exists in any types of organization whenever and in whatever situation.**
- **If someone tries to influence the behavior of another individual or a group, there is leadership in an organization, wherever an individual has subordinates, he may act as a leader. The efforts of subordinates (followers) are to be channeled in the right direction. As leaders, they are not only the responsible for the attainment of goals of the organization.**
- **It is believed that leaders are born and not made at the same time; a few people also believe the leaders are not born but made. But generally, leaders are born and also made.**

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Need or Importance of Leadership

- **Perfect organization structure-** An organization structure cannot provide for all kinds of relationships. That is why, informal relationships are made to exist within the framework of formal organization structure. But the organization structure is complete or perfect with the help of effective leadership.
- **Directing group activities-** The personal conduct and behavior of a leader can direct others to achieve organization goals. The main responsibility of a leader is to get the work hard and effectively without leadership. A leader alone can consolidate the efforts and direct them towards the goal.
- **Technological, economical and social changes-** There is frequent change in technology, economic and social structure in the present computer world. So, the organization should change its operation and style. This is possible only with the help of effective leadership.

Need or Importance of Leadership (cont'd)

- **Better Utilization of man power** -The plans, policies and programs do not work themselves. There is a need for a leader. The leader implements the plans, policies and programs to utilize the available manpower effectively and get highest production with minimum cost.
- **Avoiding imbalances:** An organization grows in size and complexity with the imbalances. Complexity arises due to the introduction of new functions. The reason is that the introduction of new functions resulted in increased levels of management. So, there is a problem of command, Co-ordination and control. A leader can tackle these problems and maintain balances.
- **Source of motivation-** Simply, the existence of leadership does not motivate the workers. The leadership style should be utilized to motivate the workers according to the situations prevailing. The achievement of goals is doubtful in the absence of leadership

Need or Importance of Leadership (cont'd)

- **Reconciliation of goals:-** An effective leadership can reconcile the goals of organizations and employees.
- **Developing good human relations:-** Human relations represent the relations between the leader and the followers (subordinates). An efficient leader can develop the skill of the followers and promote self-confidence apart from motivation.
- **Promoting the spirit of Co-ordination:-** A dynamic leader can co-ordinate the activities of the subordinate.
- **Fulfilling social responsibilities:-** Social responsibilities refer to the high standard of living to workers, higher productivity and income to the organization, more revenue to the government, reasonable price to consumers and fair return on investment to the investors. These could be achieved with the help of effective leadership. Only efficient leader can get work done and fulfill social responsibilities.

6.2. Concept and meanings of Leadership theories

- **Leadership is a complex interpersonal process of influencing behavior, and it is crucial ingredient in organizational effectiveness.**
- **The systematic study of personal characteristics & traits of leaders is important to discover the characteristics that distinguish the most effective managers from least effective ones.**

There are three leadership theories:

- **Trait theory**
- **Behavioral theory, and**
- **Situational theory**

1. Trait theory:

According to this theory, leadership is largely a matter of personality, a function of specific traits. Leaders differ from followers with respect to some key traits, which remain unchangeable across time.

6.2. Concept and meanings of Leadership theories

1. Trait theory(cont'd):

- **Trait theory attempts to insolate the attributes of successful & unsuccessful leaders that help select leaders for organization.**
- **But it failed to consider how different situations demand different characteristics, styles & skills.**
- **It examines successful leadership from the stand point of individual's personal characteristics' even as intelligence, initiative, self-assurance, etc.**
- **According to this theory there exists some basic trait or set of traits that differentiate leaders from non-leaders, leaders are different from other people.**
- **If they were not different, we wouldn't be interested in them; Leadership is to be found in the characteristics of leadership**

6.2. Concept and meanings of Leadership theories (cont'd):

2. Behavioral theory: Behavioral theory in contrast to trait theory, attempts to describe leadership in terms of what leaders do. According to this approach leadership is the result of effective role behavior; what matters a lot is not person's traits rather his acts.

3. Situational theory: There is no one-best way to lead. The best way to lead varies with the forces that exist in specific situations. Effective leader must be flexible enough to adapt to differences among subordinates & situations.

Qualities of Leadership

1. Physical appearance and strength: The leader has to put in hard work physically. He should have a capacity to work for long hours than others.

2. Mental vigor: The leader is also strong mentally. It means that the leader is expected to withstand strain in finishing the work properly.

6.2. Concept and meanings of Leadership theories (cont'd):

Qualities of Leadership(cont'd)

3. Emotional Stability: The leader should not be moved by emotion or sentiment. He should analyze the problem rationally and take a decision without bias.

4. Sense of judgment: A leader should know to human psychology. He should understand the behavior, needs, thoughts, motives etc. of his followers. This will help him to take a strategic decision and get it recognized by his followers.

5. Good will: A leader should be able to understand the feelings of others. He takes decision on the basis of expectations of his followers.

6. Motivation: A leader should know the motivation techniques and how to use them. If a person is forced to do his job under the threat of getting punishment, he will not perform his job more than the expectations of his leader.

6.2. Concept and meanings of Leadership theories (cont'd):

Qualities of Leadership(cont'd)

7.Communication skill: Whatever the information needed to workers, it should pass through the leader. If the leader has communication skills he will direct his followers effectively.

8.Guiding ability: The leader acts as a teacher to new workers. So the leader helps his followers to learn their work. He should train the workers by work and deed to complete the job effectively.

9.Sociability: An able leader can easily mingle with the workers. The workers should be encouraged to discuss their problems and difficulties with their boss. The leader should also meet the workers frequently. The leader should show his keen interest to develop the ability of workers.

10. Technical knowledge: A leader should possess a thorough knowledge of the theory and practice of his job.

6.2. Concept and meanings of Leadership theories (cont'd):

Qualities of Leadership(cont'd)

11.Be honest, sincere and fair: A leader should also be honest, sincere and fair. Others mostly like sincere, fair and honest people and their leadership is accepted by one or all.

6.3. Concept and meaning of Leadership Styles

- Leadership style is the behavior exhibited by a leader during influencing subordinates to accomplish organizational objectives.
- It implies the ways in which the leaders exercise leadership; the ways in which the functions of leadership are carried out, and the ways how the leaders behave towards their subordinated in the accomplishment of the work.
- Leadership style describes how a leader has relationship with his group some of the leadership styles are discussed below.

6.3. Concept and meaning of Leadership Styles (cont'd)

1. Autocratic leadership style

- **Autocratic leader centralizes power & decision making for him & exercises complete control over the subordinates.**
- **In autocratic situations frustrations, low moral & conflict develop easily.**
- **Under this leadership style, the leaders have full power or authority to take a decision.**
- **The leaders create a work situation under which the subordinates are expected to work they will work no more or less than the instruction of the leader. So, the leaders have full responsibility.**
- **The followers are not aware of organization goals besides; the followers feel insecure and are afraid of the authority of the leaders.**
- **The reason is that these leaders have the desire to wield loving more powers.**

6.3. Concept and meaning of Leadership Styles (cont'd)

2. Democratic/ Participative leadership Style

- **Participative leadership style initiates decision sharing & practices leadership by consultation. It improves job satisfaction & moral of the employees. It is just opposite to autocratic style. The authority is decentralized. So the followers are permitted to take decisions under this style.**
- **The decisions are taken whole-heartedly; the reason is that the superior has consultation with his subordinates before taking a decision. The subordinates know the goals of the organization, so, they offer fruitful ideas during discussion.**

3. Laissez-faire or free-rein leadership

- **Laissez-faire or Free-rein leadership style is a complete delegation of authority to subordinates so that they must plan, motivate & control and be responsible for their own actions.**
- **The free-rein manager avoids power & relinquishes the leadership positions.**

6.4. Motivation

- **Motivation refers to the forces within a person that affect his or her direction, intensity, and persistence of voluntary behavior.**
- **Motivated employees are willing to exert a particular level of effort (intensity), for a certain amount of time (persistence), toward a particular goal (direction).**
- **Technically, the term motivation can be traced to the Latin word mover, which means “to move.”**

This meaning is evident in the following comprehensive definition:

- ✓ **Motivation is a process that starts with a physiological or psychological deficiency or need that activates behavior or a drive that is aimed at a goal or incentive.**

6.4. Motivation (cont'd)

The importance of motivation:

- 1. Maximum utilization of factors of production:** Workers perform the work sincerely through the inspiration of motivation. This creates the possibility of maximum utilization of factors of production, viz, labour, capital.
- 2. Willingness to work:** Motivation influences the willingness of people to work.
- 3. Reduced absenteeism:** Financial incentives shames coerce the workers to work more. This reduces absenteeism.
- 4. Reduced labor turn over:** Motivation has both financial and non financial intensive schemes.
- 5. Availability of right personnel:** Financial and non financial incentives not only retain the existing employees but also attract the employees from out side the enterprise. In other words right people are attracted from outside to work for the enterprise.

The importance of motivation (cont'd):

6. Building of good labor relations: Motivation helps to solve the labor problems of absenteeism, labor turn over, indiscipline and grievances. This ensures building of good labour relations.

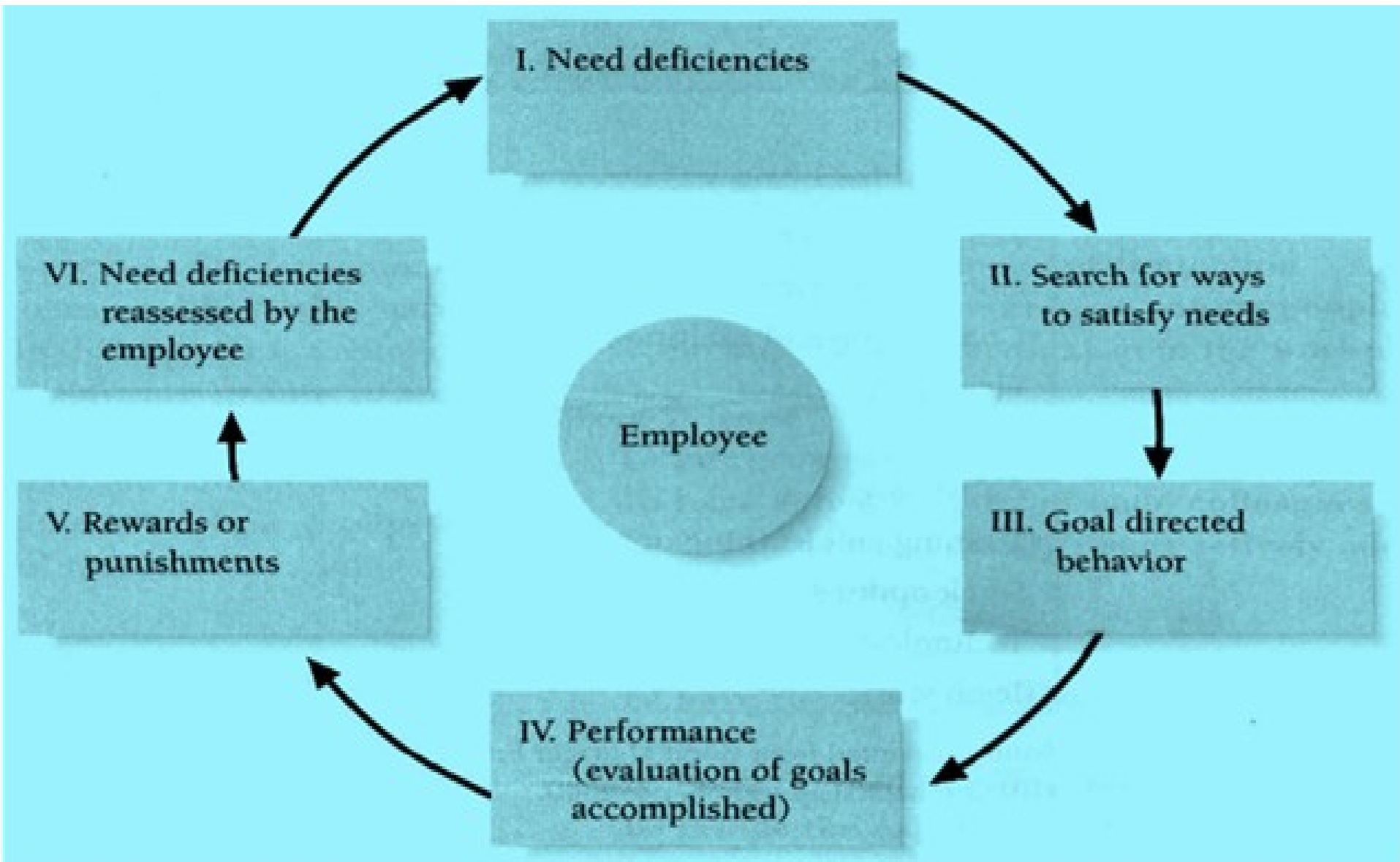
7. Increase in the efficiency and out put: Both workers and management have got benefits from motivational plans. On the one hand, wages of the workers increase corresponding to the increase of out put and efficiency. On the other hand, the productivity of the organizations and its profits increases due to consolidated efforts of the motivated people.

8. Sense of belonging: A proper motivation scheme promotes closer rapport between enterprise and workers. The workers begin to feel that the enterprise belongs to them and consider its interests as their own. Thus there is no difference between workers and enterprise.

9. Basis of cooperation: Efficiency and output are increased through co-operation.

6.4.1. The concept of motivation

NEEDS → DRIVES → INCENTIVES



6.4.1. The concept of motivation (cont'd)

- Understanding the concept of motivation lies in the meaning and relationships among needs, drives, and incentives.
- Needs set up drives aimed at incentives.
- In a systems sense, motivation consists of these three interacting and interdependent elements.

1. Needs: Needs are created whenever there is a physiological or psychological imbalance. For example, a need exists when cells in the body are deprived of food and water or when the personality is deprived of other people who serve as friends or companions.

2. Drives: With a few exceptions, drives, or motives (the two terms are often used interchangeably), are set up to alleviate needs. A physiological drive can be simply defined as a deficiency with direction.

6.4.1. The concept of motivation (cont'd)

- Physiological and psychological drives are action oriented and provide an energizing thrust toward reaching an incentive.
- They are at the very heart of the motivational process.
- The examples of the needs for food and water are translated into the hunger and thirst drives, and the need for friends becomes a drive for affiliation.

3. Incentives: At the end of the motivation cycle is the incentive, defined as anything that will alleviate a need and reduce a drive.

- Thus, attaining an incentive will tend to restore physiological or psychological balance and will reduce or cut off the drive.
- Eating food, drinking water, and obtaining friends will tend to restore the balance and reduce the corresponding drives.

6.4.1. The concept of motivation (cont'd)

Primary motives. Such motives are variously called physiological, biological, unlearned, or primary.

Two criteria must be met in order to be included in the primary classification:

- i. It must be unlearned, and ii. it must be physiologically based.
- These include hunger, thirst, sleep, avoidance of pain, sex, and maternal concern.
- Although the precedence of primary motives is implied in some motivation theories, there are many situations in which general and secondary motives predominate over primary motives.

General motives. There are a number of motives that lie in the grey area between the primary and secondary classifications. To be included in the general category, a motive must be unlearned but not physiologically based¹⁹⁵

6.4.1. The concept of motivation (cont'd)

- These needs are sometimes called “stimulus motives.”
- The motives of curiosity, manipulation, activity, and affection seem to best meet these criteria for this classification.
- General motives are more relevant to organizational behavior than are primary motives.

Secondary motives: The secondary drives are questionably the most important to the study of human behavior in organizations.

Secondary motives are closely tied to the learning concepts. In particular, the learning principle of reinforcement is conceptually related to motivation.

A motive must be learned in order to be included in the secondary classification. Need for power, achievement, affiliation, security and status are important secondary needs.

6.4.2. Theories of motivation

1. EARLY THEORIES OF MOTIVATION:

- a. The traditional approach:** - the traditional approach to employee motivation is represented explicitly by the work of Fredrick W. Taylor who suggested the use of an incentive pays system.
- Taylor believed that management knows more clearly about the job being performed than the worker and he assumed economic gain was every ones primary motivation.
 - Other assumption of traditional approach were the fact that work is inherently unpleasant for most people and that the money employees earn is more important than the nature of the job they are performing.
 - People could expected to perform any kind of job if they were paid enough .

6.4.2. Theories of motivation (cont'd)

b. The human relations approach:- the human relation approach grew out of the work at western electric of Elton mayo and his associates.

- **The human relationists emphasized the role of social processes in the work place.**
- **Their basic assumptions were that employees want to feel useful and important ,employees have strong social needs and that these needs are more important than money in motivating employees.**
- **Advocates of the human relations approach advise managers to make workers feel important and allow them a modicum of self direction and self control in carrying out routine activities.**
- **The human relationists believed that the illusion of contribution and participation enhanced motivation.**

6.4.2. Theories of motivation (cont'd)

2. CONTEMPORARY THEORIES OF MOTIVATION

➤ Although it is recognized that work-motivation theories are generally categorized into content and process approaches, equity and procedural justice theories have emerged in recent years and command most of the attention.

a. THE CONTENT THEORIES OF MOTIVATION

- The content theories of work motivation attempt to determine what motivates people at work.
- The content theorists are concerned with identifying the needs/drives that people have and how these need/drives are prioritized.
- They are concerned with the types of incentives or goals that people strive to attain in order to be satisfied and perform well.

6.4.2. Theories of motivation (cont'd)

- **Content theories do not necessarily predict work motivation or behavior, but are still important to understand what motivates people at work.**

MASLOW'S NEEDS HIERARCHY THEORY

Abraham H. Maslow suggested that people have a complex set of exceptionally strong needs, which can be arranged in a hierarchy.

Underlying this hierarchy are the following basic assumptions:

- **A satisfied need does not motivate. However, when one need is satisfied, another need emerges to take its place, so people are always striving to satisfy some need.**
- **The needs network for most people is very complex, with a number of needs affecting the behavior of each person at any one time.**

6.4.2. Theories of motivation (cont'd)

- Lower level needs must be satisfied, in general, before higher level needs are activated sufficiently to drive behavior.
- There are more ways to satisfy higher level needs than lower level needs.

This theory postulates five needs categories:

1. physiological,
2. security,
3. affiliation,
4. esteem, and
5. self-actualization.

1. Physiological Needs: The needs for food, water, air, and shelter are all physiological needs and constitute the lowest level in Maslow's hierarchy. People concentrate on satisfying these needs before turning to higher order needs.

6.4.2. Theories of motivation (cont'd)

- **Managers should understand that, to the extent that employees are motivated by physiological needs, their concerns do not center on the work they are doing.**
- **They will accept any job that serves to meet their needs.**
- **Managers who focus on physiological needs in attempting to motivate subordinates assume that people work primarily for money and are primarily concerned with comfort, avoidance of fatigue, and the like.**
- **These managers try to motivate employees by offering wage increases, better working conditions, more leisure time, longer breaks, and better fringe benefits.**

2. Security Needs: The needs for safety, stability, and absence of pain, threat, or illness are all security needs.

Like physiological needs, unsatisfied security needs cause people to be preoccupied with satisfying them

6.4.2. Theories of motivation (cont'd)

- **People who are motivated primarily by security needs value their jobs mainly as a defense against the loss of basic need satisfactions.**
- **Managers who feel that security needs are most important to their employees focus on them by emphasizing rules and regulations, job security, and fringe benefits.**
- **Managers whose subordinates have strong security needs will not encourage innovation in solving problems and will not reward risk taking.**
- **The employees, in turn, will strictly follow rules and regulations.**

3. Affiliation Needs: The needs for friendship, love, and a feeling of belonging are all affiliation needs.

When physiological and security needs have been satisfied, affiliation needs emerge and motivate people.

6.4.2. Theories of motivation (cont'd)

- **Managers must realize that, when affiliation needs are the primary source of motivation, people value their work as an opportunity for finding and establishing warm and friendly interpersonal relationships.**
- **Managers who believe that their subordinates are striving primarily to satisfy these needs are likely to act in a more supportive and permissive way, emphasizing employee acceptance by co-workers, extracurricular activities (such as organized sports programs and company picnics), and group norms.**

4. Esteem Needs: Both personal feelings of achievement and self-worth and recognition or respect from others meet esteem needs.

People with esteem needs want others to accept them for what they are and to perceive them as competent and able.

6.4.2. Theories of motivation (cont'd)

- **Managers who focus on esteem needs in their attempts to motivate employees tend to emphasize public rewards and recognition for services.**
- **Acknowledgment of the work's difficulty and the skills required for doing it successfully characterizes the managers' recognition of employees. These managers may use lapel pins, articles in the company paper, achievement lists on the bulletin board, and the like to promote their employees' pride in their work.**

5. Self-Actualization Needs: Self-fulfillment is the meeting of self-actualization needs. People who strive for self-actualization experience acceptance of themselves and others and increased problem-solving ability. Managers who emphasize self-actualization may involve employees in designing jobs, make special assignments that capitalize on employees' unique skills, or provide leeway to employee groups in planning and implementing work procedures.

6.4.2. Theories of motivation (cont'd)

Managerial Implications

- **Research has found that top managers generally are more able to satisfy their esteem and self-actualization needs than are lower level managers**
- **Line managers perceive greater fulfillment of security, affiliation, esteem, and self-actualization needs than do staff managers. The largest differences between line and staff managers occur in meeting esteem and self-actualization needs.**
- **Top managers tend to have more challenging jobs and an opportunity for self-actualization. Lower level managers, on the other hand, tend to have more routine jobs, which makes satisfying higher level needs more difficult.**
- ✓ **Employees who have little or no control over their work (such as assembly-line workers) may not even experience higher level needs in relation to their jobs.**

6.4.2. Theories of motivation (cont'd)

Managerial Implications(cont'd)

- **Fulfillment of needs differs according to the job a person performs, a person's age or race, the size of the company, and the cultural background of the employee. Young workers (25 or younger) have greater deficiencies in meeting esteem and self-actualization needs than do older workers (36 or older).**
- **At lower levels of management, managers of small companies are less deficient in meeting their needs than are managers who work for larger companies.; however managers at upper levels in large companies are more satisfied than their counterparts in small companies.**

6.4.2. Theories of motivation (cont'd)

ALDERFER'S ERG THEORY

Clay Alderfer agrees with Maslow that individuals have a hierarchy of needs. But instead of the five categories of needs suggested by Maslow, Alderfer's ERG Theory holds that the individual has three sets of basic needs: existence, relatedness, and growth.

- 1. Existence needs, or material needs, which are satisfied by food, air, water, pay, fringe benefits, and working conditions.**
- 2. Relatedness needs, or needs for establishing and maintaining interpersonal relationships with co-workers, superiors, subordinates, friends, and family.**
- 3. Growth needs, or needs that are expressed by an individual's attempt to find opportunities for unique personal development by making creative or productive contributions at work.**

6.4.2. Theories of motivation (cont'd)

The arrangement of these categories of needs is similar to Maslow's.

Existence (E) needs are similar to Maslow's physiological and safety needs; relatedness (R) needs are similar to Maslow's affiliation needs; and growth (G) needs are similar to Maslow's esteem and self-actualization needs.

However, the two theories differ in their views of the way people satisfy the different sets of needs.

Maslow states that unfilled needs are motivators and that the next higher level need is not activated until the preceding lower level need is satisfied. Thus a person progresses up the needs hierarchy as each set of lower level needs is satisfied. In contrast, ERG theory suggests that in addition to this fulfillment-progression process, a frustration-regression process is at work at the same time. That is, if a person is continually frustrated in attempts to satisfy growth needs, relatedness needs will re-emerge as a major motivating force.

6.4.2. Theories of motivation (cont'd)

The individual will return to satisfying this lower level need instead of attempting to satisfy growth needs, and frustration will lead to regression.

Managerial Implications

The ERG theory states that individuals will be motivated to engage in behavior to satisfy one of the three sets of needs. Thus Alderfer's ERG theory provides an important insight for managers.

If a manager observes that a subordinate's growth needs are blocked, perhaps because the job doesn't permit satisfaction of these needs or the company lacks the resources to satisfy them, the manager should attempt to redirect the subordinate's behavior toward satisfying relatedness or existence needs.

Because it is relatively new, very few research studies have tested the ERG theory of motivation.

6.4.2. Theories of motivation (cont'd)

Managerial Implications(cont'd)

However, several studies support the concept of the three sets of needs in the ERG theory, rather than the five categories of needs in Maslow s hierarchy.

Some of the most interesting findings are:

- Individuals with parents who have more education had greater growth needs than did individuals with parents who have less education.**
- Men had higher strength of existence needs and lower strength of relatedness needs than did women.**
- Blacks showed significantly greater strength of existence needs than did whites.**

6.4.2. Theories of motivation (cont'd)

HERZBERG'S MOTIVATION-HYGIENE THEORY

- **The motivator-hygiene theory is one of the most controversial theories of motivation, probably because of two unique features.**
- **First, the theory stresses that some job factors lead to satisfaction, whereas others can only prevent dissatisfaction.**
- **Second, it states that job satisfaction and dissatisfaction do not exist on a single continuum.**
- **Frederick Herzberg and his associates examined the relationship between job satisfaction and productivity in a group of accountants and engineers.**
- **Through the use of semi structured interviews, they accumulated data on various factors that these employees said had an effect on their feelings about their jobs. Two different sets of factors emerged: motivators and hygiene's.**

6.4.2. Theories of motivation (cont'd)

Motivator and Hygiene Factors

- **The first set of factors, motivator factors, includes the work itself, recognition, advancement, and responsibility.**
- **They are associated with an individual's positive feelings about the job and are related to the content of the job itself. These positive feelings, in turn, are associated with the individuals' experiences of achievement, recognition, and responsibility in the past.**
- **They are predicated on lasting rather than temporary achievement in the work setting.**
- **The second set of factors, hygiene factors, includes company policy and administration, technical supervision, salary, working conditions, and interpersonal relations.**
- **They are associated with an individual's negative feelings about the job and are related to the context or environment in which the job is performed.**

6.4.2. Theories of motivation (cont'd)

- **Hygiene Factors are extrinsic factors, or factors external to the job.**
- **In contrast, motivators are intrinsic factors, or internal factors directly related the job.**
- **Viewed somewhat differently, extrinsic outcomes are largely determined by the company (for example, salary, policies and rules, and fringe benefits).**
- **They serve as rewards for high performance only if the organization recognizes high performance.**
- **On the other hand, intrinsic outcomes (for example, a feeling of accomplishment after successful task performance) are largely internal to the individual.**
- **The organization's policies have only an indirect impact on them. Thus by defining exceptional performance, an organization may be able to influence individuals to feel that they have performed their tasks exceptionally well.**

6.4.2. Theories of motivation (cont'd)

- This theory also states that satisfaction and dissatisfaction are not a single continuum but are on a separate and distinct continuum.
- Thus the concept is that a person can be satisfied and dissatisfied at the same time.
- Hygiene factors, such as working conditions and salary, cannot increase or decrease job satisfaction; they can only affect the amount of job dissatisfaction.

Relation to Maslow's Need Hierarchy:

- Herzberg's theory is closely related to Maslow's need hierarchy.
- The hygiene factors are preventive and environmental in nature , and they are roughly equivalent to Maslow's lower-level needs.
- These hygiene factors prevent dissatisfaction, but they do not lead to satisfaction.

6.4.2. Theories of motivation(cont'd)

Relation to Maslow's Need Hierarchy (cont'd):

- **In effect, hygiene factors bring motivation up to a theoretical zero level and are a necessary "floor" to prevent dissatisfaction, and they serve as a takeoff point for motivation.**
- **By themselves, the hygiene factors do not motivate.**
- **Only the motivators motivate employees on the job.**
- **They are roughly equivalent to Maslow's higher-level needs.**
- **According to Herzberg's theory, an individual must have a job with a challenging content in order to be truly motivated.**

6.4.2. Theories of motivation (cont'd)

Contribution to Work Motivation:

- **Herzberg's two-factor theory casts a new light on the content of work motivation.**
- **Up to this point, management had generally concentrated on the hygiene factors.**
- **When faced with a morale problem, the typical solution was higher pay, more fringe benefits, and better working conditions.**
- **However, as has been pointed out, this simplistic solution did not really work.**
- **Management are often perplexed because they are paying high wages and salaries, have an excellent fringe-benefit package, and provide great working conditions, but their employees are still not motivated.**
- **Herzberg's theory offers an explanation for this problem.**

6.4.2. Theories of motivation (cont'd)

Contribution to Work Motivation (cont'd):

- **By concentrating only on the hygiene factors, management are not motivating their personnel.**
- **There are probably very few workers or associates who do not feel that they deserved the raise they received.**
- **On the other hand, there are many dissatisfied associates and managers who feel they did not get a large enough raise.**
- **This simple observation points out that the hygiene factors seem to be important in preventing dissatisfaction but do not lead to satisfaction.**
- **Herzberg would be the first to say that the hygiene factors are absolutely necessary to maintain the human resources of an organization.**

6.4.2. Theories of motivation (cont'd)

Contribution to Work Motivation (cont'd):

- **However, as in the Maslow sense, once "the belly is full" of hygiene factors, which is the case in most modern organizations, dangling any more in front of employees will not motivate them.**
- **According to Herzberg's theory, only a challenging job that has the opportunities for achievement, recognition, responsibility, advancement, and growth will motivate personnel.**

6.4.2. Theories of motivation (cont'd)

McClelland's LEARNED NEEDS THEORY

- **McClelland has proposed a theory of motivation that is closely associated with learning concepts.**
- **He believes that many needs are acquired from the culture.**
 - Three of these learned needs are:**
 - ✓ **the need for achievement (n Ach),**
 - ✓ **the need for affiliation (n Aff), and**
 - ✓ **the need for power (n Pow).**
- **McClelland contends that when a need is strong in a person, its effect is to motivate the person to use behavior that leads to its satisfaction.**
- **For example, having a high n Ach encourages an individual to set challenging goals, to work hard to achieve the goals, and to use the skills and abilities needed to achieve them.**

6.4.2. Theories of motivation (cont'd)

Based on research results, McClelland developed a descriptive **set of factors that reflect a high need for achievement**. These are:

1. The person likes to take responsibility for solving problems.
 2. The person tends to set moderate achievement goals & is inclined to take calculated risks.
 3. The person desires feedback on performance.
- The need for affiliation reflects a desire to interact socially with people.
 - A person with a high need for affiliation is concerned about the quality of important personal relationships, and thus, social relationships take precedence over task accomplishment.

6.4.2. Theories of motivation (cont'd)

- A person with a high need for power, meanwhile, concentrates on obtaining and exercising power and authority. He or she is concerned with influencing others and winning arguments.

Power has two possible orientations according to McClelland:

- It can be negative in that the person exercising it emphasizes dominance and submission.
 - Or power can be positive in that it reflects persuasive and inspirational behavior.
- The main theme of McClelland's theory is that these needs are learned through coping with one's environment.
 - Since needs are learned, behavior, which is rewarded, tends to recur at a higher frequency.
 - Managers who are rewarded for achievement behavior learn to take moderate risks and to achieve goals.

6.4.2. Theories of motivation (cont'd)

- Similarly, a high need for affiliation or power can be traced to a history of receiving rewards for sociable, dominant, or inspirational behavior.
- As a result of the learning process, individuals develop unique configurations of needs that affect their behavior and performance.

b. PROCESS THEORIES OF MOTIVATION

- The process theories of motivation are concerned with answering the questions of how individual behavior is energized, directed, maintained, and stopped.
- In other words, they are more concerned with the cognitive antecedents that go into motivation or effort, and, more important, with the way they relate to one another.

6.4.2. Theories of motivation (cont'd)

VROOM'S EXPECTANCY THEORY OF MOTIVATION

- **Vroom defines motivation as a process governing choices among alternative forms of voluntary activity.**
- **In his view, most behaviors are considered to be under the voluntary control of the person & consequently are motivated.**

First-level & Second-level Outcomes:

- i. First-level outcomes** resulting from behavior are those associated with doing the job itself and include productivity, absenteeism, turnover, and quality of productivity.
- ii. The second-level outcomes** are those events (rewards or punishments) that the first-level outcomes are likely to produce, such as merit pay increases, group acceptance or rejection, promotion, and termination.

6.4.2. Theories of motivation(cont'd)

Vroom's Expectancy Theory of Motivation(cont'd)

Valence: Valence means the strength of an individual's preference for a particular outcome. Outcomes is positively valet when it is preferred and negatively valet when it is not preferred or is avoided. An outcome has a valence of zero when the individual is indifferent to attaining or not attaining it.

Instrumentality: Another major input into the valence is the instrumentality of the first-level outcome in obtaining a desired second-level outcome. Instrumentality is the perception by an individual that first level outcomes (performance) are associated with second-level outcomes (rewards/punishment). Instrumentality can be negative, suggesting that attaining a second-level outcome is less likely if a first-level outcome has occurred, or positive, suggesting that the second-level outcome is more likely if the first-level outcome has been obtained.

6.4.2. Theories of motivation (cont'd)

Vroom's Expectancy Theory of Motivation(cont'd)

Expectancy: The belief that a particular level of effort will be followed by a particular level of performance is called expectancy.

- In other words, it refers to the individual's belief regarding the likelihood or subjective probability that a particular behavior will be followed by a particular outcome.
- Expectancy can take values ranging from 0, indicating no chance that an outcome will occur after the behavior or act, to +1, indicating perceived certainty that a particular outcome will follow a behavior or act.
- Expectancy relates efforts to first-level outcomes, whereas instrumentality relates first-level outcomes and second-level outcomes.

6.4.2. Theories of motivation (cont'd)

Vroom's Expectancy Theory of Motivation(cont'd)

- **In other words, expectancy in Vroom's theory is probability (ranging from 0 to +1) that a particular action or effort will lead to a particular first-level outcome.**
- **Instrumentality refers to the degree to which a first-level outcome will lead to a desired second-level outcome.**
- **In summary, the strength of the motivation to perform a certain act will depend on the algebraic sum of the products of the valences for the outcomes (which include instrumentality) times the expectancies.**

Vroom's Expectancy Theory of Motivation(cont'd)

Managerial Implications:

While there are still problems with expectancy theory, it has some direct implications for motivating employees.

These implications can be grouped into six suggestions for managerial action.

1. Managers should try to determine the outcomes that each employee values. They can do so by:
 - i. using a questionnaire;
 - ii. observing employee reactions to different rewards; and
 - iii. asking employees about their career goals and the kinds of rewards they want.
- However, managers must understand that employees can and do change their minds about desired outcomes.
- The effective manager correctly diagnoses these changes and also does not assume that all employees are alike.

Vroom's Expectancy Theory of Motivation(cont'd)

Managerial Implications(cont'd) :

2. Managers should determine the kinds of performance they desire.

They must define good performance and adequate performance in terms that are observable and measurable, so that subordinates can understand what managers desire of them.

3. Managers should make sure that desired levels of performance can be attained.

Motivation is determined not only by expectancy, but also by instrumentality. This means that the levels of performance set by managers as the points at which employees receive desired outcomes must be attainable.

If employees feel that the level of performance necessary to get a reward is higher than they can reasonably achieve, their motivation to perform will be low

Vroom's Expectancy Theory of Motivation(cont'd)

Managerial Implications(cont'd) :

4. Managers should directly *link the specific performance they desire to the outcomes desired by employees.*

- If an employee has achieved the desired level of performance and wants a promotion, the manager should promote that person as soon as possible.
- If a high level of motivation is to be created and maintained, it is extremely important for employees to clearly see the reward process at work in a timely manner.
- Concrete acts must accompany statements of intent in linking performance to rewards.
- Managers should not forget that it is an individual's perceptions—not reality—that determines motivation. It does not matter, for example, whether a manager feels that subordinates' pay is related to their motivation.

Vroom's Expectancy Theory of Motivation(cont'd)

Managerial Implications(cont'd) :

5. Managers should *analyze the situation for conflicts*.

Having set up positive expectancies for employees, managers must look at the entire situation to see whether other factors conflict with the desired behaviors (for example, the informal work group or the organization's formal reward system).

Motivation will be high only when employees see many rewards and few negative outcomes associated with good performance.

6. managers should make sure that *changes in outcomes or rewards are large enough to motivate* significant behavior. Trivial rewards may result in minimal efforts, if any, to improve performance.

Rewards must be large enough to motivate individuals to make the effort required to significantly change performance.

THE PORTER-LAWLER MODEL OF MOTIVATION

- **Porter and Lawler start with the premise that motivation (effort or force) does not equal satisfaction or performance.**
- **Motivation, satisfaction, and performance are all separate variables and relate in ways different from what was traditionally assumed.**
- **The value of the expected reward to the individual combines with the individual's perception of the effort involved in attaining the reward and the probability of achieving it to produce a certain level of effort.**
- **This effort combines with the individual's abilities and traits and the way he or she sees the task to yield a specific performance level.**
- **This resulting level of performance leads to intrinsic rewards (or negative consequences if the performance level is lower than expected) that are inherent in the task accomplishment and perhaps to extrinsic rewards.**

The Porter-Lawler Model of Motivation(cont'd)

- **The individual has his or her own idea about the appropriateness of the total set of rewards received, which when measured against the rewards actually received, results in the level of satisfaction experienced by the individual.**
- **The individual's experience will then be applied to his or her future assessments of the values of rewards for further task accomplishment.**

Implications for practice:

- **Porter and Lawler recommend that practicing managers go beyond traditional attitude measurement and attempt to measure variables such as the values of possible rewards, the perceptions of effort-reward probabilities, and role perceptions.**
- **These variables, of course, can help managers better understand what goes into employee effort & performance.**

The Porter-Lawler Model of Motivation (cont'd)

Implications for practice (cont'd):

- **Giving attention to the consequences of performance, Porter and Lawler also recommend that organizations critically re-evaluate their current reward policies.**
- **They stress that management should make a concentrated effort to measure how closely levels of satisfaction are related to levels of performance, and recently a practitioner-oriented article emphasized that the accuracy of role perceptions may be the missing link in improving employee performance.**
- **The inference here is that employees need to better focus their efforts on high-impact behaviors and activities that result in higher performance.**
- **Both studies and comprehensive analyses continue to point out the complex impact that the cognitive process has in relation to rewards and other outcomes in organizations.**

The Porter-Lawler Model of Motivation (cont'd)

Implication For Managers

- 1. Determine the rewards valued by each subordinate**
- 2. Determine the performance you desire**
- 3. Make the attainable performance level available**
- 4. Link rewards to performance**
- 5. Analyze what factors might counteract the effectiveness of the reward**
- 6. Make sure the reward is adequate**

Implication For Organizations

- 1. Organizations usually get what they reward, not what they want**
- 2. The job itself can be made intrinsically rewarding**
- 3. The immediate supervisor has an important role in the motivation process**

C. J. STACY ADAM'S EQUITY THEORY

- Equity theory refers to an individual's subjective judgments about the fairness of the reward she or he got, relative to the inputs (which may include many factors such as effort, experience, education, and so on), in comparison with the rewards of others.
- The essence of equity (which also means "fairness") theory is that employees compare their efforts and rewards with those of others in similar work situations.
- This theory of motivation is based on the assumption that individuals are motivated by a desire to be equitably treated at work.

Four important terms in this theory are:

1. **Person:** The individual for whom equity or inequity is perceived
2. **Comparison other:** Any group or persons used by Person as a referent regarding the ratio of inputs and outcomes.

J.Stacy Adam's Equity Theory(cont'd):

Four important terms in this theory are (cont'd):

3. Inputs: The individual characteristics brought by Person to the job. These may be achieved (e.g., skills, experience, learning) or ascribed (e.g., age, sex, race)

4. Out comes: What Person received from the job (e.g., recognition, fringe benefits, pay)

- **Equity** occurs when employees perceive that the ratios of their inputs (efforts) to their outputs (rewards) are equivalent to the ratios of other employees.
- **Inequity** exists when these ratios are not equivalent; an individual's own ratio of inputs to outcomes could be greater than, or less than, that of others.

J.Stacy Adam's Equity Theory(cont'd):

Consequences of Inequity:

➤ Employees are motivated to reduce or eliminate their feelings of inequity by correcting the inequitable situation.

There are six possible ways to reduce feelings of inequity:

➤ Notice, however, that the strategy used depends on the persons past experience as well as whether they are under or over rewarded.

1. **Changing inputs:** under rewarded workers tend to reduce their effort and performance if these outcomes don't affect their paycheck. Overpaid workers sometimes (but not very often) increase their inputs by working harder and producing more.
2. **Changing outcomes:** People with under reward inequity might ask for more desired outcomes, such as a pay increase.

If this does not work, some are motivated to join a labor union and demand these changes at the bargaining table. Others misuse sick leave for more paid time off. At the extreme, some people steal company property or use facilities for personal use as ways to increase their outcomes.

1. 3. **Changing perceptions**—Employees may distort inputs and outcomes to restore equity feelings. Over rewarded employees typically follow this strategy because it's easier to increase their perceived inputs (seniority, knowledge, etc.) than to ask for less pay!
2. 4. **Leaving the field**—some people try to reduce inequity feelings by getting away from the inequitable situation. Thus, equity theory explains some instances of employee turnover and job transfer. This also explains why an under rewarded employee might take more time off work even though he or she is not paid for this absenteeism.
3. 5. **Acting on the comparison other**—Equity is sometimes restored by changing the comparison others inputs or outcomes. If you feel over rewarded, you might encourage the referent to work at a more leisurely pace. If you feel under rewarded, you might subtly suggest that the overpaid co-worker should be doing a larger share of the workload.
4. 6. **Changing the comparison other**—If we can't seem to alter the outcome/ input ratio through other means, we might eventually replace the comparison other with someone having a more compatible outcome/input ratio. As was mentioned earlier, we sometimes rely on a generalized comparison other, so feelings of inequity may be reduced fairly easily by adjusting the features of this composite referent.

J. Stacy Adam's Equity Theory (cont'd):

Six possible ways to reduce feelings of inequity (cont'd):

3. Changing perceptions: Employees may distort inputs and outcomes to restore equity feelings.

4. Leaving the field: some people try to reduce inequity feelings by getting away from the inequitable situation.

Thus, equity theory explains some instances of employee turnover and job transfer.

This also explains why an under rewarded employee might take more time off work even though he or she is not paid for this absenteeism.

5. Acting on the comparison other: Equity is sometimes restored by changing the comparison others inputs or outcomes. If you feel over rewarded, you might encourage the referent to work at a more leisurely pace. If you feel under rewarded, you might subtly suggest that the overpaid co-worker should be doing a larger share of the workload.

J.Stacy Adam's Equity Theory (cont'd):

Six possible ways to reduce feelings of inequity (cont'd):

6. Changing the comparison other: If we can't seem to alter the outcome/ input ratio through other means, we might eventually replace the comparison other with someone having a more compatible outcome/input ratio.

Managerial Implications

- **Managers should treat employees equitably**
- **People make decisions concerning equity only after they compare their inputs and outcomes with those of comparable employees. These others may be employees of the same organization or of other organization.**
- **Women, and members of minority groups, have argued for pay based on comparable worth. Comparable worth means that individuals holding jobs that require similar qualifications and involve similar level of effort should receive equal pay.**

6.5 Concept and meaning of Communication

- **Communication is the exchange of facts, ideas, opinions or emotions by two or more people.**
- **It is the transfer of information from the sender to the receiver with the information being understood by the receiver. It is the act of influencing & inducing others to interpret an idea.**
- **Every management function involves communication.**
- **Therefore, understanding & a proper use of communication is essential to successful management.**
- **Managers at any level should know elements of communication, methods of communication, barriers of communication & ways overcoming them.**

Importance of Communication

Communication is the means by which people are linked together in an organization to achieve a common purpose.

6.5 Concept and meaning of Communication(cont'd)

Importance of Communication:

1. **An aid to managerial performance:** The manager can get things done by subordinates through communication.
2. **Achieving coordination:** Co-ordination among employees working on the basis of division of work obtained through communication.
3. **Helps in smooth working:** Communication helps the worker to know the real situation prevailing in an organization.
4. **Increase managerial efficiency:** Communication helps the manager discharge his duties systematically and facilitates him to increase his efficiency.
5. **Helps in decision making :** Good communication system provides all the necessary information which enables the manager to take quality decisions in the proper time.

6.5 Concept and meaning of Communication(cont'd)

Objectives of communication

➤ Communication enables organizations to give & receive information (advice, order, suggestions, persuasion, education, warning, motivation, etc.). it is impossible to speak about organization without speaking about communication. Communication is indispensable in every managerial function.

Formal and Informal communication

i. Formal communication: follows the hierarchy of authority and chain of command of the organization. For example, technical information, decision-making process, procedural policies and rules as set forth in company manuals might be downward, upward or horizontal.

a. Down ward communication:- It starts with top management and flows down through management level to line workers and non-supervisory personnel.

6.5 Concept and meaning of Communication(cont'd)

Formal and Informal communication(cont'd)

b. Upward communication:- Is transmission of information formally from the lower level of the organization to the top levels of the organization. It includes progress reports, suggestion and request for aid or decision:

c. Lateral/Horizontal Communicational:- this is a type of formal communication between people at different units having the same status in organizational structures.

It is a communication between and among members of work group, different departments, one work group and another.

Its main function is to provide a direct channel for organizational coordination and problem solving.

It helps to avoid a much flower procedure of communication through a common superior. It also enables organizational members to form relationships with their peers.

CHAPTER SEVEN: THE CONTROLLING FUNCTION

7.1. Meaning and need for control

- **Controlling is the last management function and it affects or is affected by the other managerial functions.**
- **Planning, organizing, staffing & directing must be monitored to maintain their effectiveness & efficiency.**
- **Efficiency and effectiveness are the measures of performance.**
- **Managers review performances of employees daily, weekly, and monthly to determine actual performances.**
- **Controlling is the process of monitoring, evaluating, comparing performance to standards and taking corrective action, if needed. In other words, control involves measurement and regulation.**
- **It is the means by which management assures that desired objectives are being achieved.**

7.1. Meaning and need for control (cont'd)

Control is closely associated with the management function of planning:

- **People often refer to "planning and control» in one phrase, as if the two were almost one function.**
- **Control complements planning because it is the means by which management assesses whether or not plans are being appropriately carried out.**
- **Control is the process of monitoring activities to ensure that they are being accomplished as planned and of correcting any significant deviations.**
- **Planning and controlling are highly interrelated in a sense that it is the planned objective that is supervised and it is usually the objective, when developed clearly that is used as a bench mark for controlling. Controlling attempts to prevent failure reduce the degree of failure and learn from previous failure and are able to function properly.**

7.2 Control process

In undertaking managerial controlling there are a series of activities that need to be performed:

1. Establishing Standards:

Standards are the bench marks against which performance is compared.

Standards can take a variety of forms and be derived from a variety of sources. For example, standards could take the form of goals or could consist of professional guidelines or legal or financial procedure.

Standards can also be derived from the practice of benchmarking, examining the performance of other organizations.

No matter how standards are derived and whatever types they are, they form the requirements of the job. The standards are the criteria against which performance will be compared.

7.2 Control process (cont'd)

2. Measuring Performance and compare it against standards

It is comparison between 'what is' & 'what should be'. It is discovering the deviation.

3. Taking corrective action

When deviations from a standard are meaningful gaps in performance, a manager should take action. Corrective actions need to be directed at the cause(s) of the deficiencies but not to aspects of the performance system that are not the cause of the problem.

Determining precise action to be taken depends on three things: the standard, accuracy of the measurements that determine the existence of deviation & the diagnosis of the person or device investigating the causes of deviation.

Corrective action can be prescribed by management in advance through policies, procedure & practices. It is sometimes automatic.

7.3 Types of Control

Based on the nature of work and work flow, various types of control have been developed.

There are three basic types of control that managers can exercise:

- 1. Prevention control** It: is sometimes called pre-action control. Prevention control is designed to prevent problems before they occur. It is also represented by rules and procedures that are to be followed so that ethical and performance problems are minimized.
- 2. Feed forward/Concurrent control:** Concurrent control takes place as the work process is being carried out. A knowledgeable manager observes the work process and quickly corrects problems as they occur.
- 3. Feedback control:** It is some times called post-action control. Feedback control occurs after a process has been completed. Feedback control uses data from past performance to improve future performance.

7.4 Techniques of control

1. **Market control:** is the use of indicators of market values as standards for regulating performance. For example, an organization may use profits as the means for evaluating the performance of a business unit.
2. **Financial controls** –Financial control use various monetary measures to regulate performance. Financial controls focus on internal monetary values, largely regarding revenues and expenses in the organization
3. **Budgetary control:-** Budgets used to specify amounts to be expended for various activities or events. Budgets provide the yardstick by which performance can be judged. Further, budgeting allows management to control and allocate its resources.
4. **Financial statements:** financial statements are tools that are used to asses and control the financial health of the organization. Two of the most commonly used are balance sheets and profit and loss statements.

7.5. Effective control system

An effective control system requires the following essentials:

- 1. Control must be understandable:**
- 2. Control must be flexible:**
- 3. Control must be economical**
- 4. Control must be objective.**
- 5. Control should recognize the importance of time element.**
- 6. Control system should provide useful and understandable information.**
- 7. Control should be forward-looking.**
- 8. Control should be selective.**
- 9. Control should reflect the organization structure and needs.**
- 10. Control should lead to corrective action.**